Somers Re Ltd.

Consolidated Financial Statements

December 31, 2024

March 20, 2025

Report of Independent Auditors

To the Board of Directors and Shareholder of Somers Re Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Somers Re Ltd. and its subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of income (loss), comprehensive income (loss), changes in shareholder's equity and cash flows for the years then ended, including the related notes (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the consolidated financial statements* section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of management for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are

considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgement, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required supplemental information

Accounting principles generally accepted in the United States of America require that the required supplemental information pertaining to Short-Duration Contracts disclosures labelled as "Unaudited" within Note 6 on pages 20 to 25 be presented to supplement the basic consolidated financial statements. Such information is the responsibility of management and, although not a part of the basic consolidated financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplemental information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic consolidated financial statements, and other knowledge we obtained during our audit of the basic consolidated financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

PricewaterhouseCoopers LLP

Chartered Professional Accountants

SOMERS RE LTD.
CONSOLIDATED BALANCE SHEETS
(U.S. dollars in thousands)

	December 31, 2024	December 31, 2023
Assets		
Investments:		
Term loans, fair value option (Amortized cost: $234,697 and $247,170)	$ 229,707	$ 242,419
Short-term investments, fair value option (Cost: $740,443 and $1,292,280)	740,152	1,292,932
Fixed maturities, available for sale (Amortized cost: $2,858,357 and $1,777,784; net of allowance for credit losses: $4,639 and $27,073)	2,817,965	1,725,534
Equity securities, fair value through net income	21,041	21,110
Total investments	3,808,865	3,281,995
Cash and cash equivalents	321,020	206,603
Accrued investment income	32,664	26,546
Premiums receivable	782,942	769,386
Reinsurance recoverable on unpaid and paid losses and loss adjustment expenses	903,850	769,260
Prepaid reinsurance premiums	333,301	276,851
Deferred acquisition costs, net	227,924	179,945
Other assets	380,160	294,333
Assets held for sale	—	146,759
Total assets	$ 6,790,726	$ 5,951,678
Liabilities		
Reserve for losses and loss adjustment expenses	$ 3,150,661	$ 2,726,302
Unearned premiums	1,190,083	963,319
Losses payable	146,206	133,414
Reinsurance balances payable	476,410	372,281
Other liabilities	282,059	298,173
Liabilities held for sale	—	111,712
Total liabilities	$ 5,245,419	$ 4,605,201
Shareholder's equity		
Common shares ($0.01 par; shares authorized, issued and outstanding: 1,000,000)	1,000	1,000
Additional paid-in capital	1,179,523	1,179,523
Accumulated other comprehensive income (loss)	(39,140)	(29,498)
Retained earnings	403,924	195,452
Total shareholder's equity	1,545,307	1,346,477
Total liabilities and shareholder's equity	$ 6,790,726	$ 5,951,678

See Notes to Consolidated Financial Statements

SOMERS RE LTD.

CONSOLIDATED STATEMENTS OF INCOME (LOSS)

(U.S. dollars in thousands)

	Year Ended December 31,	
	2024	2023
Revenues		
Gross premiums written	$ 2,363,049	$ 1,898,152
Gross premiums ceded	(662,335)	(583,290)
Net premiums written	1,700,714	1,314,862
Change in unearned premiums	(179,796)	(211,659)
Net premiums earned	1,520,918	1,103,203
Other income (loss)	929	652
Net investment income (loss)	180,969	151,593
Total revenues	1,702,816	1,255,448
Expenses		
Losses and loss adjustment expenses	(1,059,787)	(723,399)
Acquisition expenses	(380,379)	(296,501)
General and administrative expenses	(36,156)	(30,633)
Net foreign exchange gains (losses)	681	(25,130)
Amortization of intangible assets	(672)	—
Total expenses	(1,476,313)	(1,075,663)
Income (loss) before income taxes	226,503	179,785
Income tax benefit (expense)	(2,527)	81,695
Net income (loss) available to common shareholders	$ 223,976	$ 261,480

See Notes to Consolidated Financial Statements

SOMERS RE LTD.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

(U.S. dollars in thousands)

	Year Ended December 31,	
	2024	2023
Comprehensive income (loss)		
Net income (loss) available to common shareholders	$ 223,976	$ 261,480
Other comprehensive income (loss) net of income tax:		
Available for sale investments:		
Unrealized holding gains (losses) arising during the year	7,324	61,029
Unrealized foreign currency gains (losses) arising during the year	(19,472)	22,163
Credit loss provision (release) recognized in net income (loss)	(22,434)	(16,153)
Reclassification of net realized (gains) losses, included in net income (loss)	25,067	26,943
Deferred tax benefit (expense) on unrealized gains	(480)	(563)
Unrealized holding gains (losses) on available for sale investments	(9,995)	93,419
Foreign currency translation adjustments	353	(239)
Other comprehensive income (loss) net of income tax	(9,642)	93,180
Comprehensive income (loss)	$ 214,334	$ 354,660

See Notes to Consolidated Financial Statements

SOMERS RE LTD.

CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY

(U.S. dollars in thousands)

	Year Ended December 31,	
	2024	2023
Common shares		
Balance at beginning and end of year	$ 1,000	$ 1,000
Additional paid-in capital		
Balance at beginning and end of year	1,179,523	1,179,523
Accumulated other comprehensive income (loss)		
Balance at beginning of year	(29,498)	(122,678)
Unrealized holding gains (losses) of available for sale investments:		
Balance at beginning of year	(26,231)	(119,650)
Unrealized holding gains (losses) of available for sale investments, net of reclassification adjustment	(9,995)	93,419
Balance at end of year	(36,226)	(26,231)
Currency translation adjustment:		
Balance at beginning of year	(3,267)	(3,028)
Currency translation adjustment	353	(239)
Balance at end of year	(2,914)	(3,267)
Balance at end of year	(39,140)	(29,498)
Retained earnings (deficit)		
Balance at beginning of year	195,452	(50,524)
Net income (loss)	223,976	261,480
Dividends paid to parent	(15,504)	(15,504)
Balance at end of year	403,924	195,452
Total shareholder's equity	$ 1,545,307	$ 1,346,477

See Notes to Consolidated Financial Statements

SOMERS RE LTD.
CONSOLIDATED STATEMENTS OF CASH FLOWS
(U.S. dollars in thousands)

	Year Ended December 31,	
	2024	2023
Operating Activities		
Net income (loss)	$ 223,976	$ 261,480
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Net realized and unrealized (gains) losses on investments	10,610	1,959
Amortization of fixed assets	265	258
Amortization of intangible assets	672	—
Changes in:		
Accrued investment income	(6,424)	(8,285)
Premiums receivable	(33,467)	(126,874)
Reinsurance recoverable on unpaid and paid losses and loss adjustment expenses	(104,470)	(202,683)
Prepaid reinsurance premiums	(54,221)	(80,387)
Deferred acquisition costs, net	(50,846)	(58,181)
Reserve for losses and loss adjustment expenses	414,591	277,277
Unearned premiums	234,017	292,046
Reinsurance balances payable	126,193	186,287
Other liabilities	(43,402)	83,849
Other items	(135,777)	(112,628)
Net Cash Provided By (Used For)Operating Activities	581,717	514,118
Investing Activities		
Purchase of term loans	(366,177)	(194,709)
Purchase of fixed maturity investments	(2,945,388)	(1,251,772)
Purchase of short-term investments with maturities over three months	(1,701,830)	(111,589)
Proceeds from sale, redemptions and maturity of term loans	383,782	460,790
Proceeds from sales, redemptions and maturities of fixed maturity investments	1,872,886	746,820
Proceeds from sales, redemptions and maturities of short-term investments with maturities over three months	2,075,847	23,820
Net (purchases) sales of short-term investments with maturities less than three months	212,083	(242,798)
Purchases of equity securities	(313)	(3,406)
Proceeds from sales of equity securities	460	14,952
Net settlements of derivative instruments	(11,304)	231
Proceeds from sale of subsidiary, net of cash	32,059	—
(Purchases) sales of furniture, equipment and other assets	(305)	(378)
Net Cash Provided By (Used For) Investing Activities	(448,200)	(558,039)
Financing Activities		
Dividends paid	(15,504)	(15,504)
Net Cash Provided By (Used For) Financing Activities	(15,504)	(15,504)
Effects of exchange rate changes on foreign currency cash	(9,384)	6,701
Increase (decrease) in cash	108,629	(52,724)
Increase (decrease) in cash and cash equivalents, held for sale assets	5,788	(5,788)
Cash and cash equivalents, beginning of year	206,603	265,115
Cash and cash equivalents, end of year	$ 321,020	$ 206,603
Supplementary information		
Income taxes paid	$ 1,983	$ 1,020

See Notes to Consolidated Financial Statements

1. Organization

Somers Re Ltd. (“Somers Re”) was incorporated under the laws of Bermuda on July 19, 2013 and is a wholly-owned subsidiary of Somers Group Holdings Ltd. ("Somers" or the “Parent”). The Parent was incorporated under the laws of Bermuda on July 19, 2013. Somers is a wholly-owned subsidiary of Greysbridge Holdings Ltd. (“Greysbridge”). Greysbridge is approximately 40% owned by Arch Capital Group Ltd. (“ACGL” or “Arch”) and approximately 30% owned each by funds managed by Kelso & Company (“Kelso”) and Warburg Pincus LLC (“Warburg Pincus”). See Note 12, “Transactions with related parties” for further details.

As used herein, the terms “Company” or “Companies,” or “we,” “us” and “our,” collectively refer to Somers Re and/or, as applicable, its subsidiaries. Somers Re is licensed as a Class 4 multi-line insurer under the Insurance Act 1978 of Bermuda, as amended, and related regulations (the “Insurance Act”) and is licensed to underwrite general business on an insurance and reinsurance basis. The Company primarily underwrites reinsurance on exposures worldwide.

As of December 31, 2024, the Company has three (2023: four) operating subsidiaries underwriting insurance exposures in the U.S. and Europe. Watford Specialty Insurance Company Ltd. ("WSIC") is a U.S.-based excess & surplus ("E&S") lines insurer. Watford Insurance Company Europe Limited ("WICE") was incorporated in Gibraltar, and writes personal lines and commercial lines of property & casualty ("P&C") insurance in the U.K. Axeria IARD (“Axeria”), a P&C insurance company based in France, writes insurance business in Europe. During the year ended December 31, 2024, Watford Insurance Company Ltd. ("WIC"), was sold to Arch Insurance Company. See Note 3, “Assets and liabilities held for sale” for further details.

During the year ended December 31, 2024, the Company purchased 100% of the share capital of Lime Syndicate Management Holdings Limited and its subsidiaries ("Lime"), based in the U.K. Lime and its subsidiaries were formed in late 2023 to be a Lloyds managing agency. Lime was acquired to support setting up a Somers syndicate.

2. Basis of presentation and significant accounting policies

(a) Basis of presentation

The consolidated financial statements have been prepared in conformity with accounting principles generally accepted in the United States of America (“GAAP”) and include the accounts of the Company and its subsidiaries. All significant intercompany transactions and balances have been eliminated in consolidation. The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates and assumptions.

(b) Premium revenues and related expenses

Reinsurance premiums written are recorded based on the type of contracts the Company writes. Premiums on the Company’s excess of loss and pro rata reinsurance contracts are estimated when the business is underwritten. For excess of loss contracts, premiums are recorded as written, on the inception date, based on the terms of the contract. Estimates of premiums written under pro rata contracts are recorded in the period in which the underlying risks are expected to incept and are based on information provided by the brokers and the ceding companies. For multi-year reinsurance treaties which are payable in annual installments, premium recognition depends on whether the contract is non-cancellable. If either party retains the ability to cancel or commute coverage prior to expiration, only the initial annual installment is included as premiums written at policy inception. The remaining annual installments would then be included as premiums written at

each successive anniversary date within the multi-year term. If, on the other hand, the contract is non-cancellable, the full multi-year premiums would be recognized as written at policy inception.

Reinsurance premiums written and assumed include amounts reported by brokers and ceding companies, supplemented by the Company's own estimates of premiums where reports have not been received. On an ongoing basis, the Company reviews the amounts reported by these third parties for reasonableness based on their experience and knowledge of the subject class of business. Premium estimates are updated when new information is received and differences between such estimates and actual amounts are recorded in the period in which estimates are changed or the actual amounts are determined. Adjustments to premium estimates could be material and such adjustments could directly and significantly impact earnings favorably or unfavorably in the period they are determined because the estimated premium may be fully or substantially earned.

Reinstatement premiums are recognized at the time a loss event occurs, where coverage limits for the remaining life of the contract are reinstated under predefined contract terms. Reinstatement premiums, if obligatory, are fully earned when recognized. The accrual of reinstatement premiums is based on an estimate of losses and loss adjustment expenses, which reflects management's judgment.

Reinsurance premiums written on a losses occurring basis, irrespective of the class of business, are generally earned on a pro rata basis over the term of the underlying policies or reinsurance contracts. Contracts which are written on a "risks attaching" basis are written and earned over the terms of the underlying contracts and policies. Certain of the Company's reinsurance contracts include provisions that adjust premiums or acquisition expenses based upon the experience under the contracts. Premiums written and earned, as well as related acquisition expenses are recorded based upon the projected experience under such contracts.

Acquisition expenses consist primarily of brokerage fees, ceding commissions, premium taxes, underwriting fees payable to Arch under our services agreements and other direct expenses that relate to our contracts and policies and are presented net of commissions received from reinsurance we purchase. Deferred acquisition expenses are amortized over the related contract term in the same proportion that the premiums are earned. Acquisition expenses may also include profit commissions paid to our sources of business in the event of favorable underwriting experience.

Deferred acquisition costs, which are based on the related unearned premiums, are carried at their estimated realizable value and take into account anticipated losses and loss adjustment expenses, based on historical and current experience, and anticipated investment income. A premium deficiency occurs if the sum of anticipated losses and loss adjustment expenses, unamortized acquisition costs and anticipated investment income exceed unearned premiums. A premium deficiency is recorded by charging any unamortized acquisition costs to expense to the extent required in order to eliminate the deficiency. If the premium deficiency exceeds unamortized acquisition costs then a liability is accrued for the excess deficiency. No premium deficiency charges were recorded by the Company for the years ended December 31, 2024 and 2023.

(c) Reinsurance ceded

The accompanying consolidated statements of income (loss) reflect premiums, losses and loss adjustment expenses and acquisition expenses, net of reinsurance ceded (see Note 4, "Reinsurance"). Ceded unearned premiums are reported as prepaid reinsurance premiums and estimated amounts of reinsurance recoverable on unpaid losses are reported as reinsurance recoverable on unpaid losses and loss adjustment expenses. Reinsurance premiums ceded and reinsurance recoverable on unpaid losses and loss adjustment expenses are estimated in a manner consistent with that of the original policies issued and the terms of the reinsurance contracts. If the reinsurers are unable to satisfy their obligations under the agreements, the Company would be liable for such defaulted amounts. Reinsurance ceding commissions are recognized as income on a pro rata basis over the period of risk. Reinsurance ceding commissions that represent a recovery of

acquisition costs are recognized as a reduction to acquisition expenses while the remaining portion is deferred.

(d) Cash and cash equivalents

Cash includes cash equivalents, which are investments with original maturities of three months or less that are not managed by the external Investment Managers. Short-term investments include certain cash equivalents which are part of investment portfolios under the management of our Investment Managers.

(e) Investments

The Company elected the fair value option for its term loan and short-term investments in accordance with Financial Accounting Standards Board ("FASB") Accounting Standard Codification ("ASC") 825, *Financial Instruments.* As a result, such investments are reported at fair value with changes in fair value included in "net investment income (loss)" in the consolidated statements of income (loss).

The Company has elected to classify debt instruments as "available for sale". Accordingly, such investments are carried at estimated fair value (also known as fair value) with the changes in fair value recorded as an unrealized gain or loss component of accumulated other comprehensive income (loss) in shareholder's equity. In addition, the Company has elected to classify its equity securities as fair value through net income, with changes in fair value included in "net investment income (loss)" in the consolidated statements of income (loss). See Note 8, "Investments" for further information about the investment portfolios.

The fair values of investments are based on quotations received from nationally recognized pricing services, or when such prices are not available, by reference to broker or underwriter bid indications. Short-term investments are comprised of securities due to mature within one year of the date of issue. Investment transactions are recorded on a trade date basis with balances pending settlement recorded separately in the consolidated balance sheets as "other assets" or "other liabilities." See Note 9, "Fair value" for further details.

Investment Impairments

The Company conducts a periodic review to identify and evaluate invested assets that may have credit impairments.

Credit Impairments of Available For Sale Fixed Maturities

The Company derives estimated credit losses for fixed maturities by comparing expected future cash flows to be collected to the amortized cost of the security. Estimates of expected future cash flows consider among other things, macroeconomic conditions as well as the financial condition of the issuer, near-term and long-term prospects for the issuer, and the likelihood of the recoverability of principal and interest.

Credit losses are recognized through an allowance account subject to reversal, rather than a reduction in amortized cost. Declines in value attributable to factors other than credit are reported in other comprehensive income (loss) while the allowance for credit loss is charged to "net investment income (loss)" in the Company's consolidated statements of income (loss).

For fixed maturity investments the Company intends to sell or for which it is more likely than not that the Company will be required to sell before an anticipated recovery in value, the full amount of the impairment is included in "net investment income (loss)" on the Company's consolidated statements of income (loss). The new cost basis of the investment is the previous amortized cost basis less the impairment recognized in "net investment income (loss)." The new cost basis is not adjusted for any subsequent recoveries in fair value.

The Company reports accrued investment income separately from available for sale fixed maturities, and has elected not to measure an allowance for credit losses for accrued investment income. Uncollectible accrued interest is written off when the Company determines that no additional interest payments will be received.

Investment gains or losses realized on the sale of investments are determined on a first-in, first-out basis and are reflected in net income. Unrealized appreciation or decline in the value of available for sale securities, which are carried at fair value, is excluded from net income and recorded as a separate component of accumulated other comprehensive income (loss), net of applicable deferred income tax.

Net interest income includes interest income together with amortization of market premiums and discounts, net of investment management fees, interest expense and custody fees. Anticipated prepayments and expected maturities are used in applying the interest method for certain investments, such as asset-backed securities. When actual prepayments differ significantly from anticipated prepayments, the effective yield is recalculated to reflect actual payments to date and anticipated future payments. The investment in such securities is adjusted to the amount that would have existed had the new effective yield been applied since the acquisition of the security. Such adjustments, if any, are included in interest income when determined. Investment gains or losses realized on the sale of investments are determined on a first-in, first-out basis and are reflected in "net investment income (loss)" in the consolidated statements of income (loss). See Note 8, "Investments" for further details.

(f) Derivative instruments

The Company recognizes all derivative financial instruments, including embedded derivative instruments, at fair value in the consolidated balance sheets. The Company's investment and underwriting strategy allows for the limited use of derivative instruments to enhance investment performance, replicate investment positions or manage market exposures and duration risk that would be allowed under the Company's investment guidelines if implemented in other ways. For such investment derivative instruments, changes in assets and liabilities measured at fair value are recorded as a component of "net investment income (loss)." In addition, the Company's derivative instruments include amounts related to underwriting activities where an insurance or reinsurance contract meets the accounting definition of a derivative instrument. For such contracts, changes in fair value are reflected in "other income (loss)" in the consolidated statements of income (loss), as the underlying contract originates from the Company's underwriting operations. See Note 10, "Derivative instruments" for further details.

(g) Reserves for losses and loss adjustment expenses

The reserve for losses and loss adjustment expenses consists of estimates of unpaid reported losses and loss adjustment expenses and estimates for losses incurred but not reported. The reserve for unpaid reported losses and loss adjustment expenses, established by management based on reports from ceding companies and claims from insureds, represents the estimated ultimate cost of events or conditions that have been reported to or specifically identified by the Company. Such reserves are supplemented by management's estimates of reserves for losses incurred for which reports or claims have not been received. The Company's reserves are based on a combination of reserving methods, incorporating ceding company and industry loss development patterns. The Company selects the initial expected losses and loss adjustment expense ratios based on information derived by the underwriting teams during the initial pricing of the business, supplemented by industry data where appropriate. Such ratios consider, among other things, rate changes and changes in terms and conditions that have been observed in the market. The Company, in conjunction with data and analysis supplied by the underwriting teams, reviews the reserves regularly and, as experience develops and new information becomes known, the reserves are adjusted as necessary. Such adjustments, if any, are reflected in income in the period in which they are determined. Inherent in the estimates of ultimate losses and loss adjustment expenses are expected trends in claims severity

and frequency and other factors which may vary significantly as claims are settled. Accordingly, ultimate losses and loss adjustment expenses may differ materially from the amounts recorded in the accompanying consolidated financial statements. Losses and loss adjustment expenses are recorded on an undiscounted basis. See Note 5, “Reserve for losses and loss adjustment expenses” for further details.

(h) Foreign exchange

Monetary assets and liabilities, such as premiums receivable and the reserve for losses and loss adjustment expenses, denominated in foreign currencies are revalued at the exchange rate in effect at the balance sheet date with the resulting foreign exchange gains and losses included in net income. Accounts that are classified as non-monetary, such as deferred acquisition costs and the unearned premium reserves, are not subsequently re-measured. In the case of foreign currency-denominated cash and investments, the change in exchange rates between the local currency and the Company’s functional currency at each balance sheet date is included as a component of "net foreign exchange gains (losses)" included in the consolidated statements of income (loss). In the case of foreign currency denominated fixed maturity securities which are classified as “available for sale,” the change in exchange rates between the local currency in which the investments are denominated and the Company’s functional currency at each balance sheet date is included in unrealized appreciation or decline in value of securities, a component of accumulated other comprehensive income (loss), net of applicable deferred income tax.

Assets and liabilities of foreign operations whose functional currency is not the U.S. dollar are translated at the prevailing exchange rates at each balance sheet date. Revenues and expenses of such foreign operations are translated at average exchange rates during the year. The net effect of the translation adjustments for foreign operations is included in accumulated other comprehensive income (loss).

(i) Intangible assets

Intangible assets arising from business acquisitions are classified as finite-lived intangible assets, held in “other assets” in the consolidated balance sheets and amortized over their useful lives with the amortization expense being recognized in “amortization of intangible assets” in the consolidated statements of income (loss). The amortization periods approximate the period over which the Company expects to generate future net cash inflows from the use of these assets. All of these assets are subject to impairment testing for the impairment or disposal of long-lived assets when events or conditions indicate that the carrying value of an asset may not be fully recoverable from future cash flows.

(j) Income taxes

Deferred income taxes reflect the expected future tax consequences of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and amounts used for income tax purposes. A valuation allowance is recorded if it is more likely than not that some or all of a deferred tax asset may not be realized. The Company considers future taxable income and feasible tax planning strategies in assessing the need for a valuation allowance. In the event the Company determines that it will not be able to realize all or part of its deferred income tax assets in the future, an adjustment to the deferred income tax assets would be charged to income in the period in which such determination is made. In addition, if the Company subsequently assesses that the valuation allowance is no longer needed, a benefit would be recorded to income in the period in which such determination is made. See Note 11, “Income taxes” for more information.

The Company recognizes a tax benefit where it concludes that it is more likely than not that the tax benefit will be sustained on audit by the taxing authority based solely on the technical merits of the associated tax position. If the recognition threshold is met, the Company recognizes a tax benefit measured at the largest amount of the tax benefit that, in the Company’s judgment, is greater than

50% likely to be realized. The Company records related interest and penalties in income tax expense.

(k) Reinsurance recoverables

In the normal course of business, the Company's subsidiaries cede a portion of their premium and losses through pro rata and excess of loss reinsurance agreements on a treaty or facultative basis. Reinsurance recoverables are recorded as assets, predicated on the reinsurers' ability to meet their obligations under the reinsurance agreements. In certain instances, the Company obtains collateral, including letters of credit and trust accounts, to further reduce the credit exposure on its reinsurance recoverables. The Company reports its reinsurance recoverables net of an allowance for expected credit loss in the Company's consolidated balance sheets. The allowance is based upon the Company's ongoing review of amounts outstanding, the financial condition of its reinsurers, amounts and form of collateral obtained and other relevant factors. A ratings based probability-of-default and loss-given-default methodology is used to estimate the allowance for expected credit loss. Any allowance for credit losses is charged to the Company's consolidated statements of income (loss) in the period the recoverable is recorded and revised in subsequent periods to reflect changes in the Company's estimate of expected credit losses.

(l) Premiums receivable and unearned premium reserves

Premiums are recognized as revenues pro rata over the policy period. Unearned premium reserves represent the unexpired portion of policy premiums. Accrued retrospective premiums are included in premiums receivable balances. Premiums receivable balances are reported net of an allowance for expected credit losses. The Company monitors credit risk associated with premiums receivable through its ongoing review of amounts outstanding, aging of the receivable, historical loss data and counterparty financial strength measures. The allowance also includes estimated uncollectible amounts related to dispute risk. Amounts deemed to be uncollectible, are written off against the allowance. In certain instances, credit risk may be reduced by the Company's right to offset loss obligations or unearned premiums against premiums receivable. Any allowance for credit losses is charged to the Company's consolidated statements of income (loss) in the period the receivable is recorded and revised in subsequent periods to reflect changes in the Company's estimate of expected credit losses.

(m) Assets and liabilities held for sale

The Company classifies long-lived assets or disposal groups to be sold as held for sale in the period in which all of the following criteria are met: management, having the authority to approve the action, commits to a plan to sell the asset or disposal group; the asset or disposal group is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets or disposal groups; an active program to locate a buyer and other actions required to complete the plan to sell the asset or disposal group have been initiated; the sale of the asset or disposal group is probable, and transfer of the asset or disposal group is expected to qualify for recognition as a completed sale within one year, except if events or circumstances beyond the Company's control extend the period of time required to sell the asset or disposal group beyond one year; the asset or disposal group is being actively marketed for sale at a price that is reasonable in relation to its current fair value; and actions required to complete the plan indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

A long-lived asset or disposal group that is classified as held for sale is valued at the lower of its carrying value or fair value less any costs to sell. Any loss resulting from this measurement is recognized in the period in which the held-for-sale criteria are met. Conversely, gains are not recognized on the sale of a long-lived asset or disposal group until the date of sale.

Upon determining that a long-lived asset or disposal group meets the criteria to be classified as held for sale, the Company shall no longer record depreciation (amortization) on the assets. Interest and

other expenses attributable to the liabilities of a disposal group classified as held for sale shall continue to be accrued. See Note 3, "Assets and liabilities held for sale" for further details.

(n) Recent accounting pronouncements

Recently announced accounting standards and accounting standard updates ("ASU")

In December 2023, the FASB issued ASU No. 2023-09, *Improvements to Income Tax Disclosures* ("ASU 2023-09"). Among other things, ASU 2023-09 addresses investor requests for more transparency about income tax information through improvements to income tax disclosures primarily related to the rate reconciliation and income taxes paid information. ASU 2023-09 is effective for entities, other than public business entities, for fiscal years beginning after December 15, 2025. The Company is currently evaluating the impact of this guidance.

3. Assets and liabilities held for sale

On July 1, 2024, the Company completed the sale of WIC, its wholly-owned subsidiary, to Arch Insurance Company. The sale was completed for a closing consideration of $35.4 million. A gain on sale of $0.8 million has been recognized through "other income (loss)" on the Company's consolidated statements of income (loss).

As of December 31, 2023, WIC was classified as held for sale and the relevant assets and liabilities were recorded at the lower of carrying value and fair value, less any costs to sell based on the sale price.

The following table presents the major classes of assets and liabilities that were classified as held for sale in the Company's consolidated balance sheets:

	December 31, 2023
	($ in thousands)
Assets	
Investments:	
Short-term investments, fair value option (Cost: $7,249)	$ 7,249
Fixed maturities, available for sale (Amortized cost: $16,471; net of allowance for credit losses: $Nil)	15,854
Total investments	23,103
Cash and cash equivalents	5,788
Premiums receivable	5,470
Reinsurance recoverable on unpaid and paid losses and loss adjustment expenses	90,849
Prepaid reinsurance premiums	4,830
Intangible assets	7,650
Other assets	9,069
Total assets	$ 146,759
Liabilities	
Reserve for losses and loss adjustment expenses	$ 99,576
Unearned premiums	5,428
Reinsurance balances payable	4,125
Other liabilities	2,583
Total liabilities	$ 111,712

4. Reinsurance

Through reinsurance agreements with Arch Reinsurance Ltd. ("ARL"), Arch Reinsurance Company ("ARC") and Arch Reinsurance Europe Underwriting Designated Activity Company ("ARE"), which are subsidiaries of ACGL, as well as through other third-party reinsurance agreements, the Company cedes a portion of its premiums. The effects of reinsurance on the Company's written and earned premiums, losses and loss adjustment expenses were as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Premiums written		
Direct	$ 1,060,511	$ 850,799
Assumed	1,302,538	1,047,353
Ceded	(662,335)	(583,290)
Net	$ 1,700,714	$ 1,314,862
Premiums earned		
Direct	$ 919,661	$ 679,291
Assumed	1,197,906	932,322
Ceded	(596,649)	(508,410)
Net	$ 1,520,918	$ 1,103,203
Losses and loss adjustment expenses		
Direct	$ 656,252	$ 497,293
Assumed	782,421	586,967
Ceded	(378,886)	(360,861)
Net	$ 1,059,787	$ 723,399

The Company monitors the financial condition of its reinsurers and attempts to place coverages only with financially sound carriers. At December 31, 2024 and 2023, 100% of reinsurance recoverable on unpaid and paid losses and loss adjustment expenses were due from carriers which had an A.M. Best, Standard & Poor or Fitch rating of "A-" or better.

At December 31, 2024 and 2023, approximately 47% of the Company's reinsurance recoverable on unpaid and paid losses and loss adjustment expenses (not including prepaid reinsurance premiums) were due from ARL, ARC and ARE, each of which have ratings of "A+" from A.M. Best. Although the Company has not experienced any material credit losses to date, an inability of its reinsurers to meet their obligations to it over the relevant exposure periods for any reason could have a material adverse effect on its financial condition and results of operations.

5. Reserve for losses and loss adjustment expenses

The following table represents an analysis of losses and loss adjustment expenses and a reconciliation of the beginning and ending reserve for losses and loss adjustment expenses for the years ended December 31, 2024 and 2023.

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Gross reserve for losses and loss adjustment expenses at beginning of year	$ 2,726,302	$ 2,445,298
Unpaid losses and loss adjustment expenses recoverable	605,427	496,405
Net reserve for losses and loss adjustment expenses at beginning of year	2,120,875	1,948,893
Net incurred losses and loss adjustment expenses relating to losses occurring in:		
Current year	1,003,330	692,476
Prior years	56,457	30,923
Total net losses and loss adjustment expenses	1,059,787	723,399
Net paid losses and loss adjustment expenses relating to losses occurring in:		
Current year	(236,366)	(165,740)
Prior years	(448,913)	(432,785)
Total paid losses and loss adjustment expenses	(685,279)	(598,525)
Other changes:		
Net losses and loss adjustment expense reserves on dispositions	—	—
Reclassified to held for sale, net of reinsurance recoverables	—	(9,921)
Foreign exchange losses (gains)	(30,696)	57,029
Net reserve for losses and loss adjustment expenses at end of year	2,464,687	2,120,875
Unpaid losses and loss adjustment expenses recoverable	685,974	605,427
Gross reserve for losses and loss adjustment expenses at end of year	$ 3,150,661	$ 2,726,302

During 2024, the Company recorded net unfavorable development on prior year loss reserves of $56.5 million. Net unfavorable development was experienced on casualty reinsurance losses of $59.9 million and insurance programs and coinsurance losses of $16.2 million. This unfavorable development was partially offset by favorable development on other specialty reinsurance losses of $10.9 million and property catastrophe reinsurance losses of $8.6 million.

During 2023, the Company recorded net unfavorable development on prior year loss reserves of $30.9 million. Net unfavorable development was experienced on casualty reinsurance losses of $48.7 million and insurance programs and coinsurance losses of $12.6 million. This unfavorable development was partially offset by favorable development on other specialty reinsurance losses of $21.8 million and property catastrophe reinsurance losses of $8.6 million.

6. Short duration contracts

The Company is required by applicable insurance laws and regulations and U.S. GAAP to establish reserves for losses and loss adjustment expenses ("loss reserves") that arise from the business it underwrites. Loss reserves are balance sheet liabilities representing estimates of future amounts

required to pay losses and loss adjustment expenses for insured or reinsured events which have occurred at or before the balance sheet date. Loss reserves do not reflect contingency reserve allowances to account for future loss occurrences. Losses arising from future events will be estimated and recognized at the time the losses are incurred and could be substantial.

Loss reserves are comprised of (1) case reserves for claims reported, (2) additional case reserves, or ACRs, and (3) incurred but not reported ("IBNR") reserves. Loss reserves are established to provide for loss adjustment expenses and represent the estimated expense of settling claims, including legal and other fees and the general expenses of administering the claims adjustment process. Periodically, adjustments to the reported or case reserves may be made as additional information regarding the claims is reported or payments are made.

IBNR reserves are established to provide for incurred claims which have not yet been reported at the balance sheet date as well as to adjust for any projected variance in case reserving. Actuaries estimate ultimate losses and loss adjustment expenses using various generally accepted actuarial methods applied to known losses and other relevant information. Like case reserves, IBNR reserves are adjusted as additional information becomes known or payments are made. The process of estimating reserves involves a considerable degree of judgment by management and, as of any given date, is inherently uncertain.

Ultimate losses and loss adjustment expenses are generally determined by extrapolation of claim emergence and settlement patterns observed in the past that can reasonably be expected to persist into the future. In forecasting ultimate losses and loss adjustment expenses with respect to any line of business, past experience with respect to that line of business is the primary resource, developed through both industry and company experience, but cannot be relied upon in isolation. Uncertainties in estimating ultimate losses and loss adjustment expenses are magnified by the time lag between when a claim actually occurs and when it is reported and settled. During the claims reporting and settlement period, additional facts regarding coverages written in prior accident years, as well as about actual claims and trends, may become known and, as a result, management may adjust its reserves. If management determines that an adjustment is appropriate, the adjustment is recorded in the accounting period in which such determination is made in accordance with U.S. GAAP.

In determining ultimate losses and loss adjustment expenses, the cost to indemnify claimants, provide needed legal defense and other services for insureds and administer the investigation and adjustment of claims are considered. A key objective of actuaries in developing estimates of ultimate losses and loss adjustment expenses, and resulting IBNR reserves, is to identify aberrations and systemic changes occurring within historical experience and accurately adjust for them so that the future can be projected reliably. Because of the factors previously discussed, this process requires the substantial use of informed judgment and is inherently uncertain.

Although loss reserves are initially determined based on underwriting and pricing analysis, we apply several generally accepted actuarial methods, such as expected loss methods, historical paid and incurred loss development methods, Bornhuetter-Ferguson paid and incurred loss methods, on a quarterly basis. Each quarter, as part of the reserving process, actuaries reaffirm that the assumptions used in the reserving process continue to form a sound basis for projection of liabilities. If actual loss activity differs substantially from expectations based on historical information, an adjustment to loss reserves may be supported. Estimated loss reserves for more mature underwriting years are based more on actual loss activity and historical patterns than on the initial assumptions based on pricing indications. More recent underwriting years rely more heavily on internal pricing assumptions. We place more or less reliance on a particular actuarial method based on the facts and circumstances at the time the estimates of loss reserves are made. Other methodologies are often used in the reserving process for specific types of claims or events, such as catastrophic or other specific major events. These include vendor catastrophe models, which are typically used in the estimation of loss reserves at the early stage of known catastrophic events

before information has been reported to an insurer or reinsurer, and analysis of specific industry events, such as large lawsuits or claims.

The reinsurance business relies heavily on information reported by ceding companies, as discussed above. In order to determine the accuracy and completeness of such information, underwriters, actuaries, and claims personnel often perform audits of ceding companies and regularly review information received from ceding companies for unusual or unexpected results.

For insurance programs and coinsurance line of business, claim personnel, including those under service arrangements, determine whether to establish a case reserve for the estimated amount of the ultimate settlement of individual claims. We contract with a number of outside third-party administrators in the claims process who, in certain cases, have limited authority to establish case reserves. The work of these administrators is reviewed and monitored by such claims personnel.

The reserves for losses and loss adjustment expenses primarily relate to short-duration contracts with various characteristics (e.g., type of coverage, geography, claims duration). We have considered such information in determining the level of disaggregation for disclosures related to short-duration contracts.

The Company does not include claim count information in the short duration triangles for reinsurance. A significant percentage of reinsurance business is written on a proportional basis, for which individual loss information is typically unavailable.

For insurance programs and coinsurance line of business, we generally consider a reported claim to be per claimant, and we include claims with nil or nominal payments and/or case reserves.

We write the majority of reinsurance contracts on an underwriting year basis and therefore may involve multiple accident years. Pursuant to customary cedant/reinsurer reporting requirements, the cedant reports premium for a given contract to us in total for the contract period, not separated by accident year. Similarly, for certain contract structures, the paid and outstanding losses will also be reported in total for the contract period, not by accident year. The short duration disclosure requires us to separately disclose paid losses, case reserves and IBNR losses by accident year, which necessitates an allocation of the underwriting year data between each of the applicable accident years. To separate reported losses by accident year we employ certain assumptions, which can lead to anomalies in the presentation of individual accident year results.

The following tables present information on the short-duration contracts by line of business:

Casualty reinsurance - Pro Rata ($000's)

Incurred losses and allocated loss adjustment expenses, net of reinsurance											December 31, 2024
	Year ended December 31,										
Accident year	2015 unaudited	2016 unaudited	2017 unaudited	2018 unaudited	2019 unaudited	2020 unaudited	2021 unaudited	2022 unaudited	2023 unaudited	2024	Total of IBNR liabilities plus expected development on reported claims
2015	$ 161,983	$ 164,317	$ 178,618	$ 177,409	$ 185,253	$ 187,178	$ 189,942	$ 193,673	$ 200,814	$ 202,151	$ 16,540
2016		167,978	187,052	187,774	196,739	202,330	205,815	208,916	218,581	226,540	22,722
2017			178,840	179,909	192,262	192,904	197,055	200,225	210,816	223,357	26,867
2018				147,916	143,029	143,988	149,098	154,273	161,529	167,981	24,335
2019					115,813	113,260	112,695	114,725	116,949	118,803	14,769
2020						73,761	67,547	65,874	62,869	64,026	2,373
2021							51,556	46,241	46,554	50,110	6,138
2022								64,848	60,541	64,788	26,824
2023									56,055	50,744	21,272
2024										97,661	69,168
									Total	$ 1,266,161	

Cumulative paid losses and allocated loss adjustment expenses, net of reinsurance										
2015	$ 13,053	$ 37,841	$ 70,868	$ 86,761	$ 114,460	$ 131,813	$ 145,103	$ 156,331	$ 165,698	$ 172,377
2016		11,398	45,337	68,790	111,185	133,961	148,466	163,387	175,580	188,115
2017			15,361	40,593	82,095	108,678	125,043	144,077	156,769	174,596
2018				11,128	35,890	60,431	80,293	100,337	113,123	125,781
2019					16,592	36,800	52,970	67,376	78,588	88,732
2020						11,288	24,056	33,400	39,646	50,061
2021							5,561	13,321	21,770	29,478
2022								6,255	16,441	25,586
2023									6,433	15,459
2024										10,078
									Total	880,263
									All outstanding liabilities before 2015, net of reinsurance	9,063
									Liabilities for losses and loss adjustment expenses, net of reinsurance	$ 394,961

Casualty reinsurance - Excess of Loss ($000's)

Incurred losses and allocated loss adjustment expenses, net of reinsurance											December 31, 2024
	Year ended December 31,										
Accident year	2015 unaudited	2016 unaudited	2017 unaudited	2018 unaudited	2019 unaudited	2020 unaudited	2021 unaudited	2022 unaudited	2023 unaudited	2024	Total of IBNR liabilities plus expected development on reported claims
2015	$ 26,645	$ 27,769	$ 34,959	$ 36,435	$ 36,779	$ 37,911	$ 36,222	$ 41,084	$ 41,477	$ 41,755	$ 3,131
2016		36,702	40,578	47,118	47,785	46,087	46,524	48,658	51,723	52,130	6,586
2017			55,696	34,656	37,965	46,905	49,514	64,139	70,919	71,010	9,606
2018				67,296	64,820	57,131	61,095	65,061	68,052	75,069	10,325
2019					75,325	65,054	69,987	78,020	78,434	87,388	16,765
2020						94,074	84,869	43,620	59,224	56,283	(2,845)
2021							128,062	144,900	138,795	148,304	86,671
2022								149,034	138,405	129,578	55,139
2023									142,888	158,008	100,742
2024										157,773	143,594
									Total	$ 977,298	

Cumulative paid losses and allocated loss adjustment expenses, net of reinsurance										
2015	$ 88	$ 587	$ 1,913	$ 6,725	$ 8,425	$ 14,922	$ 19,692	$ 24,506	$ 26,055	$ 29,215
2016		199	750	2,508	5,321	10,498	14,134	18,772	24,126	30,195
2017			107	967	2,445	8,176	15,383	22,084	32,648	36,268
2018				155	2,430	13,768	17,816	22,790	32,119	42,010
2019					299	2,789	4,673	8,089	29,142	40,810
2020						224	1,191	5,704	16,718	30,274
2021							224	2,081	7,945	27,652
2022								526	5,957	23,489
2023									1,201	16,201
2024										5,029
									Total	281,143
									All outstanding liabilities before 2015, net of reinsurance	4,521
									Liabilities for losses and loss adjustment expenses, net of reinsurance	$ 700,676

Other Specialty Reinsurance ($000's)

Incurred losses and allocated loss adjustment expenses, net of reinsurance											December 31, 2024
	Year ended December 31,										
Accident year	2015 unaudited	2016 unaudited	2017 unaudited	2018 unaudited	2019 unaudited	2020 unaudited	2021 unaudited	2022 unaudited	2023 unaudited	2024	Total of IBNR liabilities plus expected development on reported claims
2015	$ 71,517	$ 72,838	$ 71,117	$ 73,657	$ 76,125	$ 78,318	$ 78,356	$ 80,690	$ 80,808	$ 81,432	$ 1,426
2016		67,302	57,855	57,617	55,197	60,270	58,534	58,794	58,804	59,513	546
2017			74,001	64,129	70,584	72,048	72,794	72,808	73,222	73,994	(189)
2018				65,825	67,408	66,207	67,741	67,979	66,238	70,123	2,228
2019					76,332	72,517	68,760	67,829	68,417	66,716	4,955
2020						64,067	66,084	65,546	63,075	60,411	7,038
2021							104,945	105,082	106,101	106,548	6,833
2022								215,444	217,701	227,729	54,776
2023									144,467	135,994	57,174
2024										265,486	163,324
									Total	$ 1,147,946	

Cumulative paid losses and allocated loss adjustment expenses, net of reinsurance										
2015	$ 30,001	$ 49,015	$ 57,951	$ 66,957	$ 69,823	$ 72,649	$ 73,273	$ 76,061	$ 77,433	$ 78,366
2016		25,180	38,488	45,073	49,347	53,578	54,980	56,014	56,855	57,412
2017			29,795	50,002	55,803	59,955	62,802	65,316	65,949	68,428
2018				13,786	40,745	53,312	58,779	62,061	65,050	66,663
2019					19,052	27,620	41,740	47,844	52,361	55,409
2020						9,449	19,625	27,458	36,402	43,836
2021							12,021	34,698	60,731	80,559
2022								31,488	79,386	116,493
2023									13,203	56,526
2024										36,857
									Total	660,549
									All outstanding liabilities before 2015, net of reinsurance	1,324
									Liabilities for losses and loss adjustment expenses, net of reinsurance	$ 488,721

Property Catastrophe Reinsurance ($000's)

Incurred losses and allocated loss adjustment expenses, net of reinsurance											December 31, 2024
	Year ended December 31,										
Accident year	2015 unaudited	2016 unaudited	2017 unaudited	2018 unaudited	2019 unaudited	2020 unaudited	2021 unaudited	2022 unaudited	2023 unaudited	2024	Total of IBNR liabilities plus expected development on reported claims
2015	$ 4,571	$ 3,479	$ 2,676	$ 1,984	$ 1,907	$ 1,856	$ 1,812	$ 1,788	$ 1,808	$ 1,808	$ (12)
2016		4,969	3,964	3,293	2,853	2,780	2,747	2,654	2,545	2,546	—
2017			22,435	18,097	17,319	16,459	15,415	15,145	15,187	15,171	4
2018				16,171	13,956	12,205	11,126	10,532	10,353	10,190	102
2019					8,469	8,052	7,137	7,130	6,717	6,250	(119)
2020						20,611	26,042	26,163	25,336	24,616	495
2021							74,015	71,053	68,762	66,169	853
2022								71,173	64,980	60,230	4,951
2023									36,397	36,581	6,404
2024										67,712	11,114
									Total	$ 291,273	

Cumulative paid losses and allocated loss adjustment expenses, net of reinsurance										
2015	$ 360	$ 785	$ 1,326	$ 1,402	$ 1,438	$ 1,483	$ 1,490	$ 1,496	$ 1,493	$ 1,514
2016		978	1,863	2,207	2,480	2,524	2,562	2,578	2,593	2,601
2017			6,599	12,042	13,182	14,191	14,504	14,698	14,799	14,839
2018				2,750	6,934	8,955	9,055	9,200	9,374	9,421
2019					498	3,161	4,195	4,591	4,774	4,839
2020						2,716	11,328	15,616	20,319	21,432
2021							5,374	32,248	47,648	51,237
2022								13,286	35,080	43,015
2023									2,772	11,954
2024										7,052
									Total	167,904
									All outstanding liabilities before 2015, net of reinsurance	(69)
									Liabilities for losses and loss adjustment expenses, net of reinsurance	$ 123,300

Insurance programs and coinsurance ($000's except claim count)

Incurred losses and allocated loss adjustment expenses, net of reinsurance											December 31, 2024	
	Year ended December 31,											
Accident year	2015 unaudited	2016 unaudited	2017 unaudited	2018 unaudited	2019 unaudited	2020 unaudited	2021 unaudited	2022 unaudited	2023 unaudited	2024	Total of IBNR liabilities plus expected development on reported claims	Cumulative number of reported claims
2015	$ 977	$ 977	$ 1,098	$ 1,105	$ 1,105	$ 1,065	$ 1,086	$ 1,113	$ 962	942	22	4,224
2016		$ 24,913	$ 24,623	$ 26,186	$ 26,620	$ 27,284	$ 25,926	$ 26,147	$ 25,895	$ 25,774	$ 158	43,864
2017			56,557	55,597	59,022	59,637	60,181	60,971	61,820	62,851	3,982	70,444
2018				85,735	83,602	90,311	100,298	103,980	106,233	102,686	6,983	73,362
2019					98,761	102,278	113,330	117,462	129,099	132,067	12,038	98,981
2020						116,519	110,365	116,848	120,326	123,987	9,983	120,208
2021							174,209	173,290	182,473	183,593	24,682	136,608
2022								184,090	174,631	190,455	15,426	129,703
2023									207,899	205,098	45,571	153,477
2024										323,958	143,137	161,848
									Total	$ 1,351,411		

Cumulative paid losses and allocated loss adjustment expenses, net of reinsurance										
2015	$ 8	$ 381	$ 695	$ 810	$ 871	$ 1,182	$ 1,213	$ 1,094	$ 942	919
2016		$ 5,707	$ 14,877	$ 19,992	$ 21,970	$ 24,398	$ 24,571	$ 25,195	$ 25,557	$ 25,985
2017			17,490	35,722	42,585	47,936	52,001	55,783	58,534	57,727
2018				27,757	58,451	66,615	74,961	86,300	96,087	93,540
2019					24,765	64,413	67,577	82,501	93,588	110,758
2020						21,124	48,654	66,044	79,599	94,762
2021							49,028	104,442	127,913	142,842
2022								53,347	117,132	148,562
2023									65,160	124,692
2024										105,758
									Total	905,545
									All outstanding liabilities before 2015, net of reinsurance	$ —
									Liabilities for losses and loss adjustment expenses, net of reinsurance	$ 445,866

(1) Following the acquisition of Axeria, a prospective approach has been adopted to include losses from 2021 Accident Year onwards within the table above. The incurred losses and allocated loss adjustment expenses, net of reinsurance relating to prior accident years are excluded from the table and included within Other short duration lines in the reconciliation below.

The following table presents the average annual percentage payout of incurred losses and allocated loss adjustment expenses by age, net of reinsurance, as of December 31, 2024:

	Average annual percentage payout of incurred losses and loss adjustment expenses by age, net of reinsurance (unaudited)									
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Casualty reinsurance - pro rata	11.1%	16.0%	15.4%	12.2%	11.2%	8.2%	6.6%	6.3%	5.1%	3.3%
Casualty reinsurance - excess of loss	0.7%	3.4%	7.5%	10.0%	16.2%	11.7%	12.3%	9.0%	7.7%	7.6%
Other specialty reinsurance	19.1%	24.2%	16.8%	11.2%	6.9%	4.1%	1.6%	2.7%	1.3%	1.1%
Property catastrophe reinsurance	17.2%	36.6%	16.3%	7.7%	2.7%	1.3%	0.6%	0.4%	0.1%	1.2%
Insurance programs and coinsurance	26.2%	29.1%	10.8%	9.4%	9.5%	9.5%	1.4%	(4.2)%	(7.3)%	(2.4)%

For the year ended December 31, 2024, the Company did not make any significant changes in its methodologies or assumptions.

The following table represents a reconciliation of the disclosures of net incurred and paid loss development tables to the reserve for losses and loss adjustment expenses at December 31, 2024:

	December 31, 2024
	($ in thousands)
Net outstanding liabilities:	
Casualty reinsurance - excess of loss	$ 700,676
Other specialty reinsurance	488,721
Insurance programs and coinsurance	445,866
Casualty reinsurance - pro rata	394,961
Property catastrophe reinsurance	123,300
Other short duration lines not included in disclosures (1)	296,360
Total for short duration lines	2,449,884
Unpaid losses and loss adjustment expenses recoverable:	
Insurance programs and coinsurance	364,004
Casualty reinsurance - excess of loss	144,376
Other specialty reinsurance	50,535
Property catastrophe reinsurance	8,153
Casualty reinsurance - pro rata	3,778
Other short duration lines not included in disclosures (1)	115,128
Total for short duration lines	685,974
Unallocated claims adjustment expenses	14,803
Reserve for losses and loss adjustment expenses	$ 3,150,661

(1) Other short duration lines includes Axeria liabilities for accident years 2020 and prior and other miscellaneous items.

7. Allowance for expected credit losses

Premiums Receivable

The following table presents the balances of premiums receivable, net of the allowance for expected credit losses at December 31, 2024 and 2023, and changes in the allowance for expected credit losses for the years ended December 31, 2024 and 2023.

	At and For the Year Ended			
	December 31, 2024		December 31, 2023	
	Premiums Receivable, Net of Allowance	Allowance for Expected Credit Losses	Premiums Receivable, Net of Allowance	Allowance for Expected Credit Losses
	($ in thousands)			
Balance at beginning of year	$ 769,386	$ 507	$ 632,318	$ 503
Current period change for expected credit losses		(360)		4
Write-offs charged against the allowance		—		—
Balance at end of year	$ 782,942	$ 147	$ 769,386	$ 507

Reinsurance Recoverables

The following table presents the balances of reinsurance recoverables, net of the allowance for expected credit losses, at December 31, 2024 and 2023, and changes in the allowance for expected credit losses for the years ended December 31, 2024 and 2023.

	At and For the Year Ended			
	December 31, 2024		December 31, 2023	
	Reinsurance Recoverables, Net of Allowance	Allowance for Expected Credit Losses	Reinsurance Recoverables, Net of Allowance	Allowance for Expected Credit Losses
	($ in thousands)			
Balance at beginning of year	$ 769,260	$ 1,822	$ 606,286	$ 1,767
Current period change for expected credit losses		(542)		55
Write-offs charged against the allowance		—		—
Balance at end of year	$ 903,850	$ 1,280	$ 769,260	$ 1,822

8. Investments

Available for Sale Investments

The following tables summarize the fair value of the Company's securities classified as available for sale as of December 31, 2024 and 2023:

	December 31, 2024				
	Cost or Amortized Cost	Gross Unrealized Gains (1)	Gross Unrealized Losses (1)	Allowance for Expected Credit Losses	Fair Value
	($ in thousands)				
Fixed maturities:					
Corporate bonds	$1,612,242	$ 15,619	$ (23,712)	$ (4,563)	$1,599,586
Mortgage-backed securities	682,082	2,008	(4,137)	—	679,953
Asset-backed securities	371,291	1,295	(4,076)	(62)	368,448
Non-U.S. government and government agency bonds	142,447	517	(22,370)	(14)	120,580
U.S. government and government agency bonds	50,295	12	(909)	—	49,398
Total investments, available for sale	$2,858,357	$ 19,451	$ (55,204)	$ (4,639)	$2,817,965

(1) Gross unrealized gains and losses above exclude amounts attributable to the impact of the sale of subsidiary.

	December 31, 2023				
	Cost or Amortized Cost	Gross Unrealized Gains (1)	Gross Unrealized Losses (1)	Allowance for Expected Credit Losses	Fair Value
	($ in thousands)				
Fixed maturities:					
Corporate bonds	$1,306,290	$ 21,747	$ (15,688)	$ (17,663)	$1,294,686
Non-U.S. government and government agency bonds	248,462	1,823	(27,612)	(25)	222,648
U.S. government and government agency bonds	164,886	7	(2,492)	—	162,401
Asset-backed securities	47,387	272	(2,997)	(9,378)	35,284
Mortgage-backed securities	10,589	44	(272)	(7)	10,354
Municipal government and government agency bonds	170	—	(9)	—	161
Total investments, available for sale	$1,777,784	$ 23,893	$ (49,070)	$ (27,073)	$1,725,534

(1) Gross unrealized gains and losses above exclude amounts attributable to assets held for sale at December 31, 2023.

The following table summarizes, for all available for sale securities in an unrealized loss position, the fair value and gross unrealized losses by length of time the security has been in a continual unrealized loss position:

	December 31, 2024					
	Less than 12 Months		12 Months or More		Total	
	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses
	($ in thousands)					
Fixed maturities:						
Corporate bonds	$ 753,076	$ (23,060)	$ 58,626	$ (5,215)	$ 811,702	$ (28,275)
Mortgage-backed securities	336,764	(4,067)	4,250	(70)	341,014	(4,137)
Asset-backed securities	128,638	(4,138)	—	—	128,638	(4,138)
Non-U.S. government and government agency bonds	11,379	(331)	99,863	(22,053)	111,242	(22,384)
U.S. government and government agency bonds	10,835	(575)	8,551	(334)	19,386	(909)
Total	$1,240,692	$ (32,171)	$ 171,290	$ (27,672)	$1,411,982	$ (59,843)

	December 31, 2023					
	Less than 12 Months		12 Months or More		Total	
	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses
	($ in thousands)					
Fixed maturities:						
Corporate bonds	$ 108,158	$ (970)	$ 420,891	$ (32,381)	$ 529,049	$ (33,351)
Non-U.S. government and government agency bonds	32,896	(2,729)	153,891	(24,908)	186,787	(27,637)
U.S. government and government agency bonds	13,928	(61)	146,196	(2,431)	160,124	(2,492)
Asset-backed securities	67	(622)	26,546	(11,753)	26,613	(12,375)
Mortgage-backed securities	4,210	(33)	4,464	(246)	8,674	(279)
Municipal government and government agency bonds	—	—	161	(9)	161	(9)
Total	$ 159,259	$ (4,415)	$ 752,149	$ (71,728)	$ 911,408	$ (76,143)

At December 31, 2024, 844 positions out of a total of 1,570 positions were in an unrealized loss position with the largest unrealized loss position being 23.7 million. The reduction in gross unrealized losses on fixed maturities compared to December 31, 2023 can be attributed to the decline in interest rates for the asset-backed securities, offset by the movement in foreign exchange rates for the non-U.S. government agency bonds during the year. The Company believes that such securities were temporarily impaired at December 31, 2024.

At December 31, 2023, 598 positions out of a total of 1,157 positions were in an unrealized loss position with the largest unrealized loss position being $27.6 million. The reduction in gross unrealized losses on fixed maturities compared to December 31, 2022 can be attributed to the stabilization of interest rates and the movement in foreign exchange rates for the non-U.S. government agency bonds during the year. The Company believes that such securities were temporarily impaired at December 31, 2023.

Allowance for expected credit losses

The following table summarizes the allowance for expected credit losses and the changes in allowance. There were no write-offs charged against the allowance. The change in allowance is recognized in "net investment income (loss)" in the Company's consolidated statements of income (loss). There were no impairments of securities which the Company intends to sell or more likely than not will be required to sell.

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Balance at beginning of year	$ 27,073	$ 43,226
Changes in credit loss allowance	(22,434)	(16,153)
Balance at end of year	$ 4,639	$ 27,073

The amortized cost and fair value of fixed maturities classified as available for sale, summarized by contractual maturity are shown in the following tables.

	December 31, 2024		
	Amortized Cost	Estimated Fair Value	% of Fair Value
	($ in thousands)		
Due in one year or less	$ 150,589	$ 149,538	5.2 %
Due after one year through five years	1,261,612	1,239,577	44.0 %
Due after five years through ten years	361,460	350,844	12.5 %
Due after ten years	31,323	29,605	1.1 %
Asset-backed securities	371,291	368,448	13.1 %
Mortgage-backed securities	682,082	679,953	24.1 %
Total investments, available for sale	$ 2,858,357	$ 2,817,965	100.0 %

	December 31, 2023		
	Amortized Cost	Estimated Fair Value	% of Fair Value
	($ in thousands)		
Due in one year or less	$ 206,352	$ 203,560	11.8 %
Due after one year through five years	1,055,882	1,031,757	59.8 %
Due after five years through ten years	429,669	417,628	24.2 %
Due after ten years	27,905	26,951	1.6 %
Asset-backed securities	47,387	35,284	2.0 %
Mortgage-backed securities	10,589	10,354	0.6 %
Total investments, available for sale	$ 1,777,784	$ 1,725,534	100.0 %

Fair Value Option and Fair Value Through Net Income

The following tables summarize the fair value of the Company's securities classified as fair value through net income or for which the fair value option was elected:

	December 31, 2024			
	Cost or Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
		($ in thousands)		
Term loan investments	$ 234,697	$ 1,561	$ (6,551)	$ 229,707
Short-term investments	740,443	210	(501)	740,152
Investments, fair value option	$ 975,140	$ 1,771	$ (7,052)	$ 969,859
Fair Value Through Net Income:				
Equities, fair value through net income	$ 23,503	$ 2,677	$ (5,139)	$ 21,041

	December 31, 2023			
	Cost or Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
		($ in thousands)		
Term loan investments	$ 247,170	$ 1,723	$ (6,474)	$ 242,419
Short-term investments	1,292,280	3,276	(2,624)	1,292,932
Investments, fair value option	$ 1,539,450	$ 4,999	$ (9,098)	$ 1,535,351
Fair Value Through Net Income:				
Equities, fair value through net income	$ 26,895	$ 2,331	$ (8,116)	$ 21,110

The amortized cost and fair value of term loans and short-term investments, summarized by contractual maturity are shown in the following tables.

	December 31, 2024		
	Amortized Cost	Estimated Fair Value	% of Fair Value
		($ in thousands)	
Due in one year or less	$ 745,613	$ 744,011	76.7 %
Due after one year through five years	120,960	116,883	12.1 %
Due after five years through ten years	108,567	108,965	11.2 %
Total	$ 975,140	$ 969,859	100.0 %

	December 31, 2023		
	Amortized Cost	Estimated Fair Value	% of Fair Value
		($ in thousands)	
Due in one year or less	$ 1,292,280	$ 1,292,932	84.2 %
Due after one year through five years	182,999	178,165	11.6 %
Due after five years through ten years	64,171	64,254	4.2 %
Total	$ 1,539,450	$ 1,535,351	100.0 %

The tables below summarize the credit quality of total investments as rated by Standard & Poor's Financial Services, LLC, or Standard & Poor's, Moody's Investors Service, or Moody's, Fitch Ratings Inc., or Fitch, Kroll Bond Rating Agency, or KBRA, or DBRS Morningstar, or DBRS, as applicable:

	December 31, 2024										
	Credit Rating (1)										
	Fair Value	AAA	AA	A	BBB	BB	B	CCC	CC	C	Not Rated
	($ in thousands)										
Term loan investments	$ 229,707	$ —	$ —	$ —	$ 4,979	$ 68,286	$ 144,747	$ 4,128	$ 4,515	$ —	$ 3,052
Fixed maturities:											
Corporate bonds	1,599,586	3,496	59,943	604,908	788,349	73,059	61,481	3,268	2,348	671	2,063
U.S. government and government agency bonds	49,398	—	49,398	—	—	—	—	—	—	—	—
Asset-backed securities	368,448	152,404	141,787	51,949	13,237	546	1,395	1,640	114	—	5,376
Mortgage-backed securities	679,953	310,186	316,890	25,501	27,376	—	—	—	—	—	—
Non-U.S. government and government agency bonds	120,580	6,280	106,410	—	7,890	—	—	—	—	—	—
Total fixed income instruments	3,047,672	472,366	674,428	682,358	841,831	141,891	207,623	9,036	6,977	671	10,491
Short-term investments	740,152	274,750	37,852	340,346	80,388	—	3,471	—	—	—	3,345
Total fixed income instruments and short-term investments	3,787,824	747,116	712,280	1,022,704	922,219	141,891	211,094	9,036	6,977	671	13,836
Equities	21,041										
Total	$ 3,808,865	$ 747,116	$ 712,280	$ 1,022,704	$ 922,219	$ 141,891	$ 211,094	$ 9,036	$ 6,977	$ 671	$ 13,836

(1) For individual fixed maturity investments, Standard & Poor's ratings are used. In the absence of a Standard & Poor's rating, ratings from Moody's are used, followed by ratings from Fitch, followed by ratings from KBRA, followed by ratings from DBRS.

	December 31, 2023									
	Credit Rating (1)									
	Fair Value	AAA	AA	A	BBB	BB	B	CCC	CC	Not Rated
	($ in thousands)									
Term loan investments	$ 242,419	$ —	$ —	$ —	$ 19,192	$ 43,816	$ 164,212	$ 15,194	$ 5	$ —
Fixed maturities:										
Corporate bonds	1,294,686	9,895	56,240	274,534	511,121	238,490	169,118	29,910	—	5,378
U.S. government and government agency bonds	162,401	—	162,401	—	—	—	—	—	—	—
Asset-backed securities	35,284	4,471	—	—	6,146	2,237	5,889	—	589	15,952
Mortgage-backed securities	10,354	916	1,385	4,308	1,430	—	—	—	—	2,315
Non-U.S. government and government agency bonds	222,648	14,304	200,377	1,095	6,872	—	—	—	—	—
Municipal government and government agency bonds	161	—	—	161	—	—	—	—	—	—
Total fixed income instruments	1,967,953	29,586	420,403	280,098	544,761	284,543	339,219	45,104	594	23,645
Short-term investments	1,292,932	926,307	99,333	99,323	156,331	4,227	—	—	—	7,411
Total fixed income instruments and short-term investments	3,260,885	955,893	519,736	379,421	701,092	288,770	339,219	45,104	594	31,056
Equities	21,110	—	—	—	—	—	—	—	—	—
Total	$ 3,281,995	$ 955,893	$ 519,736	$ 379,421	$ 701,092	$ 288,770	$ 339,219	$ 45,104	$ 594	$ 31,056

(1) For individual fixed maturity investments, Standard & Poor's ratings are used. In the absence of a Standard & Poor's rating, ratings from Moody's are used, followed by ratings from Fitch, followed by ratings from KBRA, followed by ratings from DBRS.

Fair value option

The Company elected to carry term loans and short term investments at fair value under the fair value option afforded by accounting guidance regarding the fair value option for financial assets and liabilities. Changes in fair value of investments accounted for using the fair value option are included in "net investment income (loss)" in the Company's consolidated statements of income (loss).

Net investment income (loss)

The components of net investment income (loss) were derived from the following sources:

	Year Ended December 31, 2024			
	Net Interest Income	Net Unrealized Gains (Losses)	Net Realized Gains (Losses)	Net Investment Income (Loss)
	($ in thousands)			
Net investment income (loss) by asset class:				
Term loan investments	$ 21,243	$ (239)	$ (1,753)	$ 19,251
Fixed maturities - available for sale (1)	121,189	—	(2,546)	118,643
Short-term investments	56,586	7,500	(2,645)	61,441
Equities, fair value through net income	269	3,223	(3,455)	37
Other (2)	—	(12,069)	1,374	(10,695)
Management fees and other investment expenses	(7,708)	—	—	(7,708)
	$ 191,579	$ (1,585)	$ (9,025)	$ 180,969

(1) Net realized gains (losses) from the fixed maturities available for sale portfolio consists of realized gains and realized losses of $30.5 million and $33.1 million, respectively. Net realized gains (losses) include a release of the allowance for expected credit losses on available for sale securities of $22.4 million for the year ended December 31, 2024.

(2) Other includes unrealized gains and unrealized losses for total return swaps.

	Year Ended December 31, 2023			
	Net Interest Income	Net Unrealized Gains (Losses)	Net Realized Gains (Losses)	Net Investment Income (Loss)
	($ in thousands)			
Net investment income (loss) by asset class:				
Term loan investments	$ 40,825	$ 41,604	$ (32,848)	$ 49,581
Fixed maturities - available for sale (1)	73,574	—	(9,545)	64,029
Short-term investments	48,842	(1,797)	1,092	48,137
Equities, fair value through net income	270	(4,590)	6,541	2,221
Other (2)	—	(2,647)	231	(2,416)
Management fees and other investment expenses	(9,959)	—	—	(9,959)
	$ 153,552	$ 32,570	$ (34,529)	$ 151,593

(1) Net realized gains (losses) from the fixed maturities available for sale portfolio consists of realized gains and realized losses of $18.1 million and $27.6 million, respectively. Net realized gains (losses) include a release of the allowance for expected credit losses on available for sale securities of $16.2 million for the year ended December 31, 2023.

(2) Other includes unrealized gains and unrealized losses for total return swaps.

Pledged and restricted assets

For the benefit of certain Arch entities and other third parties that cede business to the Company, the Company is required to post and maintain collateral to support its potential obligations under reinsurance contracts written. This collateral can be in the form of either investment assets held in collateral trust accounts or letters of credit. Under its secured credit facilities, in order for the Company to have the bank issue a letter of credit to the Company's reinsurance contract counterparty, the Company must post investment assets or cash as collateral to the bank. In either case, the amounts remain restricted for the duration of the term of the trust or letter of credit, as applicable.

At December 31, 2024 and 2023, the Company held $1.4 billion and $1.3 billion, respectively, in pledged assets in support of insurance and reinsurance liabilities as well as to collateralize the Company's secured credit facilities and investment derivatives. Included within total pledged assets, the Company held $0.3 million and $8.7 million, respectively, in deposits with U.S. regulatory authorities.

9. Fair value

Fair value hierarchy

Accounting guidance regarding fair value measurements addresses how companies should measure fair value when they are required to use a fair value measure for recognition or disclosure purposes under GAAP and provides a common definition of fair value to be used throughout GAAP. It defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. In addition, it establishes a three-level valuation hierarchy for the disclosure of fair value measurements. The valuation hierarchy is based upon the transparency of inputs to the valuation of an asset or liability as of the measurement date. The level in the hierarchy within which a given fair value measurement falls is determined based on the lowest level input that is significant to the measurement (Level 1 being the highest priority and Level 3 being the lowest priority).

The levels in the hierarchy are defined as follows:

- *Level 1:* Inputs to the valuation methodology are observable inputs that reflect quoted prices (unadjusted) for identical assets or liabilities in active markets;

- *Level 2:* Inputs to the valuation methodology include quoted prices for similar assets and liabilities in active markets and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the financial instrument; and

- *Level 3:* Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

The availability of observable inputs can vary by financial instrument and is affected by a wide variety of factors including, for example, the type of financial instrument, whether the financial instrument is new and not yet established in the marketplace, and other characteristics particular to the transaction. To the extent that valuation is based on models or inputs that are less observable or unobservable in the market, the determination of fair value requires significantly more judgment. The degree of judgment exercised by the Company in determining fair value is greatest for financial instruments categorized in Level 3. In periods of market dislocation, the observability of prices and inputs may be reduced for many financial instruments. This may lead to a change in the valuation

techniques used to estimate the fair value measurement and cause an instrument to be reclassified between levels within the fair value hierarchy.

Fair value measurements on a recurring basis

The following is a description of the valuation methodologies used for securities measured at fair value, as well as the general classification of such securities pursuant to the valuation hierarchy.

The Company determines the existence of an active market based on its judgment as to whether transactions for the financial instrument occur in such market with sufficient frequency and volume to provide reliable pricing information. The independent pricing sources obtain market quotations and actual transaction prices for securities that have quoted prices in active markets. The Company uses quoted values and other data provided by nationally recognized independent pricing sources as inputs into its process for determining fair values of its fixed maturity investments. Each price source has its own proprietary method for determining the fair value of securities that are not actively traded. In general, these methods involve the use of "matrix pricing" in which the independent pricing source uses observable market inputs including, but not limited to, investment yields, credit risks and spreads, benchmarking of like securities, broker-dealer quotes, reported trades and sector groupings to determine a reasonable fair value.

Where multiple quotes or prices are obtained, a price source hierarchy is maintained in order to determine which price source would be used (*i.e.,* a price obtained from a pricing service with more seniority in the hierarchy will be used over a less senior one in all cases). The hierarchy prioritizes pricing services based on availability and reliability and assigns the highest priority to index providers. Based on the above review, the Company will challenge any prices for a security or portfolio which are considered not to be representative of fair value.

In certain circumstances, when fair values are unavailable from these independent pricing sources, quotes are obtained directly from broker-dealers who are active in the corresponding markets. Such quotes are subject to the validation procedures noted above. Where quotes are unavailable, fair value is determined by using quantitative and qualitative assessments such as internally modeled values.

Of the $3.8 billion of net financial assets and liabilities measured at fair value at December 31, 2024, approximately $21.0 million, or 0.6%, were priced using non-binding broker-dealer quotes or modeled valuations. Of the $3.3 billion of net financial assets and liabilities measured at fair value at December 31, 2023, approximately $20.9 million, or 0.6%, were priced using non-binding broker-dealer quotes or modeled valuations.

The Company reviews its securities measured at fair value and discusses the proper classification of such investments with its Investment Managers and others. A discussion of the general classification of the Company's financial instruments follows:

Fixed Maturities. The Company uses the market approach valuation technique to estimate the fair value of its fixed maturity securities, when possible. The market approach includes obtaining prices from independent pricing services, such as index providers and pricing vendors, as well as to a lesser extent quotes from broker-dealers. The independent pricing sources obtain market quotations and actual transaction prices for securities that have quoted prices in active markets. Each source has its own proprietary method for determining the fair value of securities that are not actively traded. In general, these methods involve the use of "matrix pricing" in which the independent pricing source uses observable market inputs including, but not limited to, investment yields, credit risks and spreads, benchmarking of like securities, broker-dealer quotes, reported trades and sector groupings to determine a reasonable fair value.

The following describes the significant inputs generally used to determine the fair value of the Company's investment securities by asset class:

Term Loans. Fair values are estimated by using quoted prices obtained from independent pricing services for term loan investments with similar characteristics, pricing models or matrix pricing. Such investments are generally classified within Level 2. The fair values for certain of the Company's term loans are determined by using quantitative and qualitative assessments such as internally modeled values. The modeled values are based on peer loans and comparison to industry-specific market data. Significant unobservable inputs used to price these securities may include changes in peer and/or comparable credit spreads, accretion of any original issue discount and changes in the issuer's debt leverage since issue. Changes in peer credit spreads, comparable credits spreads and issuer debt leverage are negatively correlated with the modeled fair value measurement. Such investments are generally classified within Level 3.

Corporate Bonds. Valuations are provided by independent pricing services, substantially all through index providers and pricing vendors, with a small amount through broker-dealers. The fair values of these securities are generally determined using the spread above the risk-free yield curve. These spreads are generally obtained from the new issue market, secondary trading and from broker-dealers who trade in the relevant security market. As the significant inputs used in the pricing process for corporate bonds are observable market inputs, the fair value of the majority of these securities are classified within Level 2. The fair values for certain of the Company's corporate bonds are determined by using quantitative and qualitative assessments such as internally modeled values. The modeled values are based on peer bonds and comparison to industry-specific market data. In addition, the Company assesses the fair value based on the valuation of the underlying holdings in accordance with the bonds' governing documents. Significant unobservable inputs used to price these securities may include changes in peer and/or comparable credit spreads, accretion of any original issue discount and changes in the issuer's debt leverage since issue. Changes in peer credit spreads, comparable credits spreads, and issuer debt leverage are negatively correlated with the modeled fair value measurement. Such investments are generally classified within Level 3.

Asset-Backed Securities. Valuations are provided by independent pricing services, substantially all through index providers and pricing vendors, with a small amount through broker-dealers. The fair values of these securities are generally determined through the use of pricing models (including option adjusted spread) which use spreads to determine the appropriate average life of the securities. These spreads are generally obtained from the new issue market, secondary trading and from broker-dealers who trade in the relevant security market. The pricing services also review prepayment speeds and other indicators, when applicable. As the significant inputs used in the pricing process for asset-backed securities are observable market inputs, the fair value of these securities are classified within Level 2.

Mortgage-Backed Securities. Valuations are provided by independent pricing services, substantially all through pricing vendors and index providers with a small amount through broker-dealers. The fair values of these securities are generally determined through the use of pricing models (including option adjusted spread) which use spreads to determine the expected average life of the securities. These spreads are generally obtained from the new issue market, secondary trading and from broker-dealers who trade in the relevant security market. The pricing services also review prepayment speeds and other indicators, when applicable. As the significant inputs used in the pricing process for mortgage-backed securities are observable market inputs, the fair value of these securities are classified within Level 2.

U.S. Government and Government Agencies. Valuations are provided by independent pricing services, with all prices provided through index providers and pricing vendors. The Company determined that all U.S. Treasuries would be classified as Level 1 securities due to observed levels of trading activity, the high number of strongly correlated pricing quotes received on U.S. Treasuries and other factors. The fair values of U.S. government agency securities are generally determined using the spread above the risk-free yield curve. As the yields for the risk-free yield curve and the spreads for these securities are observable market inputs, the fair values of U.S. government agency securities are classified within Level 2.

Non-U.S. Government Securities. Valuations are provided by independent pricing services, with all prices provided through index providers and pricing vendors. The fair values of these securities are generally based on international indices or valuation models which include daily observed yield curves, cross-currency basis index spreads and country credit spreads. As the significant inputs used in the pricing process for non-U.S. government securities are observable market inputs, the fair value of these securities are classified within Level 2.

Municipal Government Bonds. Valuations are provided by independent pricing services, with all prices provided through index providers and pricing vendors. The fair values of these securities are generally determined using spreads obtained from broker-dealers who trade in the relevant security market, trade prices and the new issue market. As the significant inputs used in the pricing process for municipal bonds are observable market inputs, the fair value of these securities are classified within Level 2.

Short-Term Investments. The Company determined that certain of its short-term investments, held in highly liquid money market-type funds, and equities would be included in Level 1 as their fair values are based on quoted market prices in active markets. The fair values of other short-term investments are generally determined using the spread above the risk-free yield curve and are classified within Level 2.

Equity Securities. The Company determined that exchange-traded equity securities are included in Level 1 as their values are based on quoted market prices in active markets. Other equity securities are initially valued at cost which approximates fair value. In subsequent measurement periods, the fair values of these securities are determined using non-binding broker-dealer quotes. These equity securities are included in Level 2 of the valuation hierarchy. Where such quotes are unavailable, fair value is determined by using quantitative and qualitative assessments such as internally modeled values. As the significant inputs used to price these securities are unobservable, the fair value of these securities are classified as Level 3. Significant unobservable inputs used to price preferred stock may include changes in peer and/or comparable credit spreads, accretion of any original issue discount and changes in the issuer's debt leverage since issue. Changes in peer credit spreads, comparable credit spreads, and issuer debt leverage are negatively correlated with the modeled fair value measurement.

Underwriting Derivative Instruments. The Company values the government-sponsored enterprise credit-risk sharing transactions using a valuation methodology based on observable inputs from non-binding broker-dealer quotes and/or recent trading activity. As the inputs used in the valuation process are observable market inputs, the fair value of these securities are classified within Level 2. Refer to Note 10, "Derivative instruments" for more information.

Investment Derivative Instruments. The Company values the investment derivatives, including total return swaps and options, at fair value. As the underlying investments have observable inputs, the fair value of these securities are classified within Level 2. Refer to Note 10, "Derivative instruments" for more information.

The following tables present the Company's financial assets and liabilities measured at fair value by level as of December 31, 2024 and 2023:

	December 31, 2024			
	Fair Value Measurement Using:			
	Estimated Fair Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	($ in thousands)			
Assets measured at fair value:				
Term loans	$ 229,707	$ —	$ 229,707	$ —
Fixed maturities:				
Corporate bonds	1,599,586	—	1,599,586	—
U.S. government and government agency bonds	49,398	49,398	—	—
Asset-backed securities	368,448	—	368,448	—
Mortgage-backed securities	679,953	—	679,953	—
Non-U.S. government and government agency bonds	120,580	—	120,580	—
Short-term investments	740,152	740,152	—	—
Equities	21,041	—	8	21,033
Total assets measured at fair value	$ 3,808,865	$ 789,550	$ 2,998,282	$ 21,033
Liabilities measured at fair value:				
Investment derivative liabilities	$ 20,276	$ —	$ —	$ 20,276
Total liabilities measured at fair value	$ 20,276	$ —	$ —	$ 20,276

	December 31, 2023			
		Fair Value Measurement Using:		
	Estimated Fair Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
		($ in thousands)		
Assets measured at fair value:				
Term loans	$ 242,419	$ —	$ 242,419	$ —
Fixed maturities:				
Corporate bonds	1,294,686	—	1,294,686	—
U.S. government and government agency bonds	162,401	162,401	—	—
Asset-backed securities	35,284	—	35,284	—
Mortgage-backed securities	10,354	—	10,354	—
Non-U.S. government and government agency bonds	222,648	—	222,648	—
Municipal government and government agency bonds	161	—	161	—
Short-term investments	1,292,932	1,247,127	45,805	—
Equities	21,110	—	238	20,872
Other underwriting derivative assets	1	—	1	—
Investment derivative assets (1)	1,458	—	1,458	—
Total assets measured at fair value	$ 3,283,454	$ 1,409,528	$ 1,853,054	$ 20,872
Liabilities measured at fair value:				
Investment derivative liabilities (1)	$ 13,274	$ —	$ 1,113	$ 12,161
Total liabilities measured at fair value	$ 13,274	$ —	$ 1,113	$ 12,161

(1) Investment derivative assets and liabilities represent the fair value of total return swaps, which are recorded in other assets and other liabilities, respectively, in the consolidated balance sheets.

When the fair value of financial assets and financial liabilities cannot be derived from active markets, the fair value is determined using a variety of valuation techniques that include the use of models. The inputs to these models are taken from observable markets where possible, but where this is not feasible, estimation is required to establish fair values. Changes in assumptions about these factors could affect the reported fair value of financial instruments and the level where the instruments are disclosed in the fair value hierarchy.

The following tables present a reconciliation of the beginning and ending balances for all the financial assets measured at fair value on a recurring basis using Level 3 inputs:

	Year Ended December 31, 2024			
	Beginning Balance	Net Purchases (Sales)(1)	Net Realized/ Unrealized Gains (Losses)(2)	Ending Balance
Equities	$ 20,872	$ —	$ 161	$ 21,033
Total	$ 20,872	$ —	$ 161	$ 21,033

	Year Ended December 31, 2023			
	Beginning Balance	Net Purchases (Sales)(1)	Net Realized/ Unrealized Gains (Losses)(2)	Ending Balance
Term loans	$ 14,961	$ (15,388)	$ 427	$ —
Corporate bonds	904	(904)	—	—
Equities	28,160	(7,183)	(105)	20,872
Total	$ 44,025	$ (23,475)	$ 322	$ 20,872

(1) For the year ended December 31, 2023, the net purchases (sales) consisted of the redemption of a term loan of $15.4 million, sale of an equity investment of $7.2 million and the redemption of a corporate bond of $0.9 million.

(2) Realized and unrealized gains or losses on Level 3 investments are included in "net investment income (loss)" in the Company's consolidated statements of income (loss).

Financial instruments not carried at fair value

The Company uses various financial instruments in the normal course of its business. The carrying values of cash and cash equivalents, accrued investment income, certain other assets and other liabilities approximated their fair values at December 31, 2024 and 2023 due to their respective short maturities. As these financial instruments are not actively traded, their respective fair values are classified within Level 2.

10. Derivative instruments

Underwriting Derivatives

The Company's underwriting strategy allows it to enter into government-sponsored enterprise credit-risk sharing transactions. These transactions are accounted for as derivatives. The derivative assets and derivative liabilities relating to these transactions are included in "other assets" and "other liabilities," respectively, in the Company's consolidated balance sheets. Realized and unrealized gains and losses from other derivatives are included in "other income (loss)" in the Company's consolidated statements of income (loss). The risk in force of these transactions is considered to be the notional amount. These transactions matured during the year ended December 31, 2024.

As of December 31, 2024 and 2023, the Company posted $Nil and $2.9 million, respectively, in assets as collateral. These assets are included in "fixed maturities," which are recorded at fair value in the Company's consolidated balance sheets.

Investment Derivatives

The Company's investment strategy allows for the limited use of derivative securities. The Company invests in total return swaps ("swaps") through a Master Confirmation of Total Return Swap Transactions agreement, and recognizes the swap derivatives at fair value. The derivative assets and derivative liabilities relating to these transactions are included in "other assets" and "other liabilities," respectively, in the Company's consolidated balance sheets. No swaps were held as of December 31, 2024. At December 31, 2024 and 2023, the Company had collateral funds held by the counterparty of $Nil and $26.7 million, respectively, included in "short-term investments" in the Company's consolidated balance sheets.

The fair value of such options and swaps are based on observable inputs and classified in Level 2 of the valuation hierarchy. Realized and unrealized gains and losses from investment derivatives are included in "net investment income (loss)" in the Company's consolidated statements of income (loss). The Company did not hold any derivatives designated as hedging instruments at December 31, 2024 and 2023.

Certain of the Company's reinsurance contracts require interest to be paid on particular balances due, with the underlying performance of the Company's investment portfolio being the basis for

the interest calculation. The derivative liabilities relating to these transactions are included in "other liabilities" in the Company's consolidated balance sheets. Realized and unrealized gains and losses from this derivative are included in "net investment income (loss)" in the Company's consolidated statements of income (loss). The fair value of such contracts are classified in Level 3 of the valuation hierarchy.

The following table summarizes information on the fair values and notional amounts of the Company's derivative instruments at December 31, 2024 and 2023:

	December 31, 2024			
	Estimated Fair Value			
	Asset Derivatives	Liability Derivatives	Net Derivatives	Notional Amount
	($ in thousands)			
Other investment derivatives	$ —	$ 20,276	$ (20,276)	$ —
Total	$ —	$ 20,276	$ (20,276)	$ —

	December 31, 2023			
	Estimated Fair Value			
	Asset Derivatives	Liability Derivatives	Net Derivatives	Notional Amount
	($ in thousands)			
Other underwriting derivatives	$ 1	$ —	$ 1	$ 12,083
Total return swaps	1,458	1,113	345	59,911
Other investment derivatives	—	12,161	(12,161)	—
Total	$ 1,459	$ 13,274	$ (11,815)	$ 71,994

The realized and unrealized gains and losses on the Company's derivative instruments are reflected in the consolidated statements of income (loss), as summarized in the following table:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Underwriting derivatives:		
Other income (loss)	$ 281	$ 512
Investment derivatives:		
Net investment income (loss)	(7,088)	(2,416)

11. Income taxes

Somers Re is incorporated under the laws of Bermuda and, under current law, is not obligated to pay taxes in Bermuda based upon income or capital gains. The Company has received a written undertaking from the Bermuda Minister of Finance under the Exempted Undertakings Tax Protection Act 1966 that such taxes will not be applicable to Somers and Somers Re until March 31, 2035. However, on December 27, 2023, the Government of Bermuda enacted the Corporate Income tax Act 2023 ("The Bermuda CIT Act"), which is effective for tax years beginning on or after January 1, 2025. Once in effect, the new corporate income tax regime in Bermuda is expected to supersede the Minister of Finance's assurance, and the Company will become subject to taxes in Bermuda before March 31, 2035.

The Bermuda CIT Act will apply a 15% corporate income tax to certain Bermuda constituent entities of multi-national groups and is effective in fiscal years beginning on or after January 1, 2025, subject to a five-year exclusion for multi-national groups which have limited international presence; specifically groups comprised of entities located in six or fewer jurisdictions in the aggregate and have net tangible assets of less than €50 million in all other jurisdictions. As the Company qualifies for the five-year exclusion it will be subject to Bermuda corporate income taxes beginning in 2030. The Bermuda CIT Act, together with the widespread adoption of the OECD Pillar II minimum tax proposal, is expected to result in a minimum effective tax rate of 15% in most jurisdictions in which the Company operates.

The Bermuda CIT Act includes a provision referred to as the economic transition adjustment, which is intended to provide a fair and equitable transition into the tax regime. Pursuant to this legislation, the Company recorded an $84.0 million deferred income tax asset in the fourth quarter of 2023, expected to be utilized predominantly over a 5-year period beginning in 2030.

WICE is incorporated under the laws of Gibraltar and regulated by the Gibraltar Financial Services Commission (the "FSC") under the Financial Services (Insurance Company) Act (the "Gibraltar Act"). In addition to its operations in Gibraltar, WICE operates a branch in Romania. The Romanian branch ceased accepting new business from September 1, 2020. The current rates of tax on applicable profits in Gibraltar and Romania are 15% (increasing from 12.5% with effect from July 1, 2024) and 16%, respectively. The open tax years that are potentially subject to examination are 2023 and 2024 in Gibraltar and 2019 through 2024 in Romania.

Watford Holdings (U.K.) Limited and its subsidiaries are incorporated in the United Kingdom and subject to U.K. corporate income tax. Beginning April 2023, the U.K. corporate income tax rate increased from 19% to 25%. The open tax years that are potentially subject to examination by U.K. tax authorities are 2023 and 2024.

Watford Holdings (U.S.) Inc. is incorporated in the United States and files a consolidated U.S. federal tax return with its subsidiaries, WSIC and Watford Services Inc. The U.S. federal tax rate is 21%. The open tax years that are potentially subject to examination by U.S. tax authorities are 2021 through 2024.

Watford France Holdings SAS and Axeria are incorporated in France. The current French corporate income tax rate is 25%. In addition to its operations in France, Axeria operates a branch in Romania. The current Romanian corporate income tax rate is 16%. The open tax years that are potentially subject to examination are 2021 through 2024 in France and 2019 through 2024 in Romania.

The components of income taxes attributable to operations were as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Current income tax expense (benefit):		
France	$ 1,977	$ 282
Romania	886	450
United States	339	7
Gibraltar	2	—
	3,204	739
Deferred income tax expense (benefit):		
Bermuda	—	(84,031)
France	(845)	1,173
Romania	338	424
Gibraltar	(170)	—
	(677)	(82,434)
Total income tax expense (benefit)	$ 2,527	$ (81,695)

The Company's income or loss before income taxes was earned in the following jurisdictions:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Income (loss) before income taxes:		
Bermuda	$ 198,776	$ 157,405
Romania	8,482	3,489
France	5,534	5,585
Gibraltar	2,994	701
United States	(1,568)	(3,378)
United Kingdom	(3,706)	(44)
Total income (loss) before income taxes	$ 210,512	$ 163,758

The reconciliation between the Company's income tax expense and the expected income tax expense (benefit) at the Bermuda statutory income tax rate is as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Expected income tax expense (benefit) at Bermuda statutory rate	$ —	$ —
Addition (reduction) in income tax expense (benefit) resulting from:		
Change in tax rate	—	(84,031)
Foreign taxes at local expected rates	1,664	1,639
Change in valuation allowance	1,198	644
Other	(335)	53
Total income tax expense (benefit)	$ 2,527	$ (81,695)

Deferred income tax assets and liabilities reflect temporary differences based on enacted tax rates between the carrying amounts of assets and liabilities for financial reporting and income tax purposes. Significant components of the Company's deferred income tax assets and liabilities were as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Deferred income tax assets:		
Net operating loss	$ 3,765	$ 2,850
Loss reserves	32,734	33,838
Other accruals	4,005	4,753
Ceding commissions	5,475	3,064
Capitalized expenses	50	58
Intangible assets	71,332	70,618
Net capital loss	306	379
Deferred tax assets before valuation allowance	117,667	115,560
Valuation allowance	(3,464)	(3,281)
Deferred tax assets net of valuation allowance	114,203	112,279
Deferred income tax liabilities:		
Unearned premium reserve	(27,728)	(26,801)
Investment basis differences	(735)	(182)
Total deferred tax liabilities	(28,463)	(26,983)
Net deferred income tax assets (liabilities)	$ 85,740	$ 85,296

The Company provides a valuation allowance to reduce certain deferred tax assets to an amount which management expects to more likely than not be realized. As of December 31, 2024 and 2023, the Company's valuation allowance was $3.5 million and $3.3 million, respectively. After consideration of the valuation allowance, the Company had net deferred tax assets of $85.7 million and $85.3 million as of December 31, 2024 and 2023, respectively.

The Company recognizes a tax benefit where it concludes that it is more likely than not that the tax benefit will be sustained on audit by the taxing authority based solely on the technical merits of the associated tax position. The Company records interest and penalties related to unrecognized tax benefits in the provision for income taxes. As of December 31, 2024 and 2023, the Company's total unrecognized tax benefits, including interest and penalties, were $Nil.

12. Transactions with related parties

Overview of Related Party Transactions

Arch Underwriters Ltd. ("AUL") acts as the insurance and reinsurance manager for Somers Re and WICE, Arch Underwriters Inc. ("AUI") acts as the insurance and reinsurance manager for WIC (until June 30, 2024) and WSIC, and Arch Underwriters Europe Limited ("AUEL") acts as the insurance and reinsurance manager for Axeria, all under separate long-term services agreements. Arch Investment Management Ltd. ("AIM") manages a portion of the Company's investment portfolio as Investment Manager under a long-term service agreement. The services agreements with AUL, AUI, AUEL and the investment management agreement with AIM provide for services for an extended period of time with limited termination rights by the Company.

ACGL and affiliates

At December 31, 2024, affiliates of ACGL held approximately 40% of the common shares of Greysbridge. In recognition of its ownership interest, three senior executives of ACGL were appointed to the Company's board of directors.

AUL, AUI and AUEL

Somers Re and WICE entered into services agreements with AUL. WIC (prior to sale on July 1, 2024) and WSIC entered into services agreements with AUI. AUL and AUI provide services related to the management of the underwriting portfolio for a term ending in December 2030. The services agreements perpetually renew automatically in five-year increments unless either the Company or Arch gives notice to not renew at least 24 months before the end of the then-current term.

Somers Re entered into a service agreement with AUEL to provide services related to the management of the underwriting portfolio of Axeria. This agreement is in place until it is terminated by mutual agreement.

As part of the services agreements, AUL, AUEL and AUI make available to the Companies, on a non-exclusive basis, certain designated employees who serve as officers of the Companies and underwrite business on behalf of the Companies (the "Designated Employees"). AUL and AUI also provide portfolio management, Designated Employee supervision, exposure modeling, loss reserve recommendations, claims-handling, accounting and other related services as part of the services agreements.

In return for their services, AUL and AUI receive fees from the Companies, including an underwriting fee and profit commission, as well as reimbursement for the services of the Designated Employees and reimbursements for an allocated portion of the expenses related to seconded employees, plus other expenses incurred on behalf of the Company. A profit commission is earned for each underwriting year where the performance meets defined thresholds within the service agreements. AUEL receive fees including an underwriting fee plus other expenses incurred on behalf of the Company.

The related AUL, AUI and AUEL fees and reimbursements incurred in the consolidated statements of income (loss) were as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Consolidated statements of income (loss) items:		
Acquisition expenses	$ 38,161	$ 23,429
General and administrative expenses	1,925	2,328
Total	$ 40,086	$ 25,757

(1) For the years ended December 31, 2024 and 2023, the Company incurred profit commission fees due to Arch of $2.2 million and $(1.5) million, respectively, included within acquisition expenses above.

Reinsurance transactions with ACGL affiliates

The Company reinsures ARL and other ACGL subsidiaries and affiliates for property and casualty risks on a quota share basis. ACGL cedes business to the Company pursuant to inward retrocession and reinsurance agreements the Company's operating subsidiaries have entered into with ACGL. Pursuant to these inward agreements, the Company pays a ceding fee based on the business ceded and the terms of the applicable retrocession or reinsurance agreement. Such fees, in addition to origination fees, are reflected in "acquisition expenses" on the Company's consolidated statements of income (loss).

The related consolidated statements of income (loss) were as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Consolidated statements of income (loss) items:		
Gross premiums written	$ 1,183,543	$ 926,277
Gross premiums earned	1,068,450	811,624
Losses and loss adjustment expenses	678,475	488,990
Acquisition expenses (1)	311,005	250,069

(1) Acquisition expenses relating to the ACGL inward quota share agreements referred to above. For the years ended December 31, 2024 and 2023, the Company incurred ceding fees to Arch, in aggregate, of $54.1 million and $45.5 million, respectively, under these inward agreements.

Separately, the Company's operating subsidiaries have entered into outward quota share retrocession or reinsurance agreements with ACGL subsidiaries. Specifically, each of Somers Re and WICE has entered into a separate outward quota share retrocession or reinsurance agreements with ARL, and each of WIC (prior to sale on July 1, 2024) and WSIC has entered into separate outward quota share reinsurance agreements with ARC. Additionally, Axeria has outward quota share and excess of loss reinsurance agreements with ARE.

The related consolidated statements of income (loss) for the outward retrocession and reinsurance transactions were as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Consolidated statements of income (loss) items:		
Gross premiums ceded	$ (388,989)	$ (316,063)
Net premiums earned	(342,814)	(309,619)
Losses and loss adjustment expenses	(228,809)	(225,126)
Acquisition expenses (1)	(75,720)	(70,513)
Net investment income (loss)	(1,694)	—

(1) Acquisition expenses relating to the ACGL outward quota share agreements referred to above.

The related consolidated balance sheet account balances were as follows:

	December 31, 2024	December 31, 2023
	($ in thousands)	
Consolidated balance sheet items:		
Total investments	$ 956,863	$ 798,024
Premiums receivable	543,629	530,561
Reinsurance recoverable on unpaid and paid losses and loss adjustment expenses	429,283	377,138
Prepaid reinsurance premiums	169,568	147,700
Deferred acquisition costs, net	127,400	105,017
Other assets	145,805	108,984
Reserve for losses and loss adjustment expenses	1,601,355	1,314,883
Unearned premiums	587,734	472,161
Losses payable	125,990	112,477
Reinsurance balances payable	297,234	193,768
Other liabilities	134,370	178,043

AIM

Somers Re, WSIC, WICE and WIC (prior to sale on July 1, 2024) entered into investment management agreements with AIM pursuant to which AIM manages a portion of the Company's investment portfolio.

In return for its investment management services, AIM receives a monthly management fee. The management fee is based on a percentage of the aggregate asset value of the AIM managed portfolio. Such fees are reflected in "net investment income (loss)" on the Company's consolidated statements of income (loss).

The related consolidated statements of income (loss) were as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Consolidated statements of income (loss) items:		
Net investment income (loss)	$ 480	$ 1,024

13. Commitments and contingencies

Concentrations of credit risk

For reinsurance agreements, the creditworthiness of a counterparty is evaluated by the Company, taking into account credit ratings assigned by independent agencies. The credit approval process involves an assessment of factors, including, among others, the counterparty country and industry exposures. Collateral may be required, at the discretion of the Company, on certain transactions based on the creditworthiness of the counterparty.

The areas where significant concentrations of credit risk may exist include unpaid losses and loss adjustment expenses recoverable, prepaid reinsurance premiums and paid losses and loss adjustment expenses recoverable net of reinsurance balances payable (collectively, "net reinsurance recoverables"), investments and cash and cash equivalent balances.

The Company's reinsurance recoverables, and prepaid reinsurance premiums, net of reinsurance balances payable, resulting from reinsurance agreements entered into with ARL, ARC and ARE as of December 31, 2024 and 2023 amounted to $301.6 million and $331.1 million, respectively. ARL, ARC and ARE have "A+" credit ratings from A.M. Best.

A credit exposure exists with respect to reinsurance recoverables as they may become uncollectible. The Company manages its credit risk in its reinsurance relationships by transacting with reinsurers that it considers financially sound and, if necessary, the Company may hold collateral in the form of funds, trust accounts and/or irrevocable letters of credit. This collateral can be drawn on for amounts that remain unpaid beyond specified time periods on an individual reinsurer basis.

In addition, the Company underwrites a significant amount of its business through brokers and a credit risk exists should any of these brokers be unable to fulfill their contractual obligations with respect to the payments of insurance and reinsurance balances owed to the Company. The Company's investment portfolios are managed in accordance with investment guidelines that include standards of diversification, which limit the allowable holdings of any single issuer.

Employment and other arrangements

The Company has employment agreements with certain of its executive officers. Such employment arrangements provide for compensation in the form of base salary, annual bonus, participation in the Company's employee benefit programs and the reimbursements of expenses.

14. Leases

The Company enters into lease agreements for real estate that is used for office space in the ordinary course of business. These leases are accounted for as operating leases, whereby the lease expense is recognized on a straight-line basis over the term of the lease.

The leases include an option to extend or renew the lease term. The exercise of the renewal options are at the Company's discretion. The operating lease liability includes lease payments related to options to extend or renew the lease term if the Company is reasonably certain of exercising those options. Such options relating to the extension or renewal of the lease term are not included in the operating lease liability at this time.

Lease expense is included in "general and administrative expenses" in the Company's consolidated statements of income (loss). Additional information regarding the Company's real estate operating lease is as follows.

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Lease cost:		
Operating lease	$ 1,435	$ 1,547
Other information on operating lease:		
Cash payments included in the measurement of lease liability reported in operating cash flows	554	837
Right-of-use assets (1)	2,768	3,359
Operating lease liability (2)	2,905	3,359
Weighted average discount rate	4.5 %	3.9 %
Weighted average remaining lease term in years	5.80 years	6.92 years

(1) Included in "other assets" on the Company's consolidated balance sheets.

(2) Included in "other liabilities" on the Company's consolidated balance sheets.

The following tables present the contractual maturity of the Company's lease liability:

	December 31, 2024
	($ in thousands)
2025	$ 621
2026	695
2027	695
2028	571
2029	323
2030 and thereafter	620
Total undiscounted lease payments	3,525
Less: present value adjustment	(620)
Operating lease liability	$ 2,905

	December 31, 2023
	($ in thousands)
2024	$ 457
2025	464
2026	546
2027 and thereafter	2,071
Total undiscounted lease payments	3,538
Less: present value adjustment	(179)
Operating lease liability	$ 3,359

15. Debt and financing arrangements

Secured letter of credit facility

On May 13, 2024, Somers Re renewed its existing secured letter of credit facility (the "Secured Facility"). The Secured Facility amount is $100.0 million and was renewed through to May 13, 2025. Under the renewed Secured Facility, the Company may request an increase in the facility amount, up to an aggregate of $50.0 million. The principal purpose of the Secured Facility is to issue, as required, evergreen standby letters of credit in favor of primary insurance or reinsurance counterparties with which the Company has entered into reinsurance arrangements to ensure that such counterparties are permitted to take credit for reinsurance obtained from the Company as required under insurance regulations in the United States. The amount of letters of credit issued is driven by, among other things, the timing and payment of catastrophe losses, loss development of existing reserves, the payment pattern of such reserves, the further expansion of the Company's business and the loss experience of such business. When issued, the letters of credit are secured by certificates of deposit or cash. As of December 31, 2024 and 2023, the Company had $70.9 million and $98.5 million, respectively, in restricted assets as collateral for outstanding letters of credit issued from the Secured Facility, which were secured by certificates of deposit. These collateral amounts are reflected as short-term investments in the Company's consolidated balance sheets.

Unsecured letter of credit facility

On September 13, 2024, Somers Re renewed and amended its existing 364-day letter of credit agreement (the "Unsecured Facility"). The Unsecured Facility amount is $50.0 million and will effective for a period of one year, with the option to request a one-year extension 30 days prior to

expiration, subject to approval of each lender. Under the renewed Unsecured Facility, the Company may request an increase in the facility amount, up to an aggregate of $50.0 million. The principal purpose of the Unsecured Facility is to issue, as required, evergreen standby letters of credit in favor of primary insurance or reinsurance counterparties with which the Company has entered into reinsurance arrangements to ensure that such counterparties are permitted to take credit for reinsurance obtained from the Company as required under insurance regulations in the United States. The amount of letters of credit issued is driven by, among other things, the timing and payment of catastrophe losses, loss development of existing reserves, the payment pattern of such reserves, the further expansion of the Company's business and the loss experience of such business. The Unsecured Facility requires the maintenance of certain covenants, as well as the making of certain representations and warranties that are customary for facilities of this type. At December 31, 2024 and 2023, the Company had $42.6 million and $49.7 million, respectively, in outstanding letters of credit issued from the Unsecured Facility, and was in compliance with all covenants contained in the Unsecured Facility requirements.

16. Shareholder's equity

Common shares

The authorized and issued share capital of the Company consists of 1,000,000 common shares with a par value of $1.00 per share at December 31, 2024 and 2023.

17. Legal proceedings

The Company, in common with the insurance industry in general, is subject to litigation and arbitration in the normal course of its business. As of December 31, 2024, the Company was not a party to any other litigation or arbitration, which is expected by management to have a material adverse effect on the Company's results of operations or financial condition and liquidity.

18. Statutory information

The Company's subsidiaries are subject to insurance and/or reinsurance laws and regulations in the jurisdictions in which they operate. These regulations include certain restrictions on the amount of dividends or other distributions available to shareholders without prior approval of the regulatory authorities.

The actual and required statutory capital and surplus for the Company's significant regulatory jurisdictions at December 31, 2024 and 2023 was as follows:

	December 31, 2024		December 31, 2023	
	Actual	Required	Actual	Required
	($ in thousands)			
Statutory capital and surplus:				
Bermuda (1)	$ 1,454,053	$ 970,000	$ 1,256,533	$ 867,781
Watford Specialty Insurance Company	59,505	1,936	53,242	4,448
Watford Insurance Company	—	—	24,570	1,902
United States	59,505	1,936	77,812	6,350
France	91,764	48,607	85,330	37,665
Gibraltar	57,034	36,840	49,014	29,474
United Kingdom	595	500	—	—

(1) The Company is currently completing its 2024 group Bermuda Solvency Capital Requirement Model ("BSCR Model"), which must be filed with the BMA on or before April 30, 2025. The December 31, 2024 required statutory capital and surplus presented is the estimate of the enhanced capital requirement. At this time, the Company believes it will exceed the target level of required statutory economic capital and surplus.

There were no state-prescribed or permitted regulatory accounting practices for any of the Company's subsidiaries that resulted in reported statutory surplus that differed from that which would have been reported under the prescribed practices of the respective regulatory authorities, including the National Association of Insurance Commissioners. The differences between statutory financial statements and statements prepared in accordance with GAAP vary by jurisdiction, however, with the primary differences being that statutory financial statements may not reflect deferred acquisition costs, certain net deferred tax assets, intangible assets, unrealized appreciation or depreciation on debt securities and certain unauthorized reinsurance recoverables and include contingency reserves.

The statutory net income (loss) for the Company's significant regulatory jurisdictions was as follows:

	Year Ended December 31,	
	2024	2023
	($ in thousands)	
Statutory net income (loss):		
Bermuda	$ 223,976	$ 177,449
Watford Specialty Insurance Company	(8,062)	(2,214)
Watford Insurance Company	(1,137)	(1,037)
United States	(9,199)	(3,251)
France	(2,741)	7,601
Gibraltar	7,705	701
United Kingdom	100	—

Bermuda

Under the Insurance Act, the Company is registered as a Class 4 insurer and is required to maintain minimum statutory capital and surplus equal to the greater of a minimum solvency margin and the enhanced capital requirement as determined by the Bermuda Monetary Authority ("BMA").

The enhanced capital requirement is calculated based on the BSCR Model, a risk-based model that takes into account the risk characteristics of different aspects of the Company's business. At December 31, 2024 and 2023, all such requirements were met.

The ability to pay dividends is limited under Bermuda laws and regulations. Under the Insurance Act, Somers Re is restricted with respect to the payment of dividends. Somers Re is prohibited from declaring or paying in any financial year dividends of more than 25% of its total statutory capital and surplus (as shown on its previous financial year's statutory balance sheet) unless it files, at least 7 days before payment of such dividends, with the BMA, an affidavit stating that it will continue to meet the required margins following the declaration of those dividends. Accordingly, Somers Re can pay dividends or return capital of approximately $363.5 million during 2025 without providing an affidavit to the BMA.

United States

The Company's U.S. subsidiaries are subject to insurance laws and regulations in the jurisdictions in which they operate. The ability of the Company's regulated U.S. subsidiaries to pay dividends or make distributions is dependent on their ability to meet applicable regulatory standards. These regulations include restrictions that limit the amount of dividends or other distributions, such as loans or cash advances, available to common shareholders without prior approval of the insurance regulatory authorities.

Any dividends or distributions made by WSIC would result in an increase in available capital at Watford Holdings (U.S.) Inc. During 2025, WSIC cannot declare dividends without prior approval from the New Jersey Commissioner of Insurance.

United Kingdom

The Prudential Regulation Authority ("PRA") and the Financial Conduct Authority ("FCA") regulate insurance and reinsurance companies and the FCA regulates firms carrying on insurance mediation activities operating in the U.K., both under the Financial Services and Markets Act 2000. As of December 31, 2024, Lime Syndicate Management Limited ("LSML") is licensed to manage Lloyd's Syndicates pursuant to its authorizations by the U.K. regulators and Lloyd's. All U.K. companies are also subject to a range of statutory provisions, including the laws and regulations of the Companies Act 2006 (as amended) (the "U.K. Companies Act").

As corporate members of Lloyd's, LSML (as managing agent of the Company's Lloyd's Syndicates) and each syndicate's respective corporate members are subject to the oversight of the Council of Lloyd's. The capital required to support a Syndicate's underwriting capacity, or funds at Lloyd's, is assessed annually and is determined by Lloyd's in accordance with the capital adequacy rules established by the PRA. The Company has provided capital to support the underwriting of our participation in Lloyd's Syndicates in the form of pledged assets provided by Somers Re. The amount which the Company provides as funds at Lloyd's is not available for distribution to the Company for the payment of dividends. Lloyd's is supervised by the PRA and required to implement certain rules prescribed by the PRA under the Lloyd's Act of 1982 regarding the operation of the Lloyd's market. With respect to managing agents and corporate members, Lloyd's prescribes certain minimum standards relating to management and control, solvency and other requirements and monitors managing agents' compliance with such standards. At December 31, 2024 these requirements were met.

Under U.K. law, all U.K. companies are restricted from declaring a dividend to their shareholders unless they have "profits available for distribution." The calculation as to whether a company has sufficient profits is based on its accumulated realized profits minus its accumulated realized losses.

Gibraltar

WICE is licensed by the Gibraltar Financial Services Commission ("GFSC") under the Gibraltar Financial Services (Insurance Companies) Act ("the Gibraltar Act") to underwrite various insurance businesses across Europe. Under the Gibraltar Act, WICE is subject to capital requirements and is required to prepare and submit annual financial statements to the GFSC as outlined in the Gibraltar Act and in accordance with Gibraltar Generally Accepted Accounting Practice.

WICE shall notify the GFSC of any proposals to declare or pay a dividend on any of its share capital. WICE shall not declare or pay any dividend within 14 days of the date of notification. As of December 31, 2024 and 2023, WICE was in compliance with the GFSC dividend requirement.

France

Axeria is licensed by the French Prudential Supervisory and Resolution Authority ("ACPR") and is regulated by the French Insurance Code to underwrite various non-life insurance businesses across Europe. Axeria operates exclusively on broker distribution in France and under freedom of services in European countries. As a French insurance company, Axeria is required to maintain capital in accordance with the Solvency II European directive.

In accordance with the European directives, a capital management policy is determined and approved by the board of directors. Any dividends paid by Axeria must follow the French Commerce Code (Article L232-11) and require board approval.

19. Subsequent events

The Company has completed its subsequent events evaluation for the period subsequent to the balance sheet date of December 31, 2024 through March 20, 2025, the date the consolidated financial statements were available to be issued, and concluded there are no subsequent events requiring recognition or disclosure.